6-21-2021 - KEDNY | KEDLI - 19-G-0309/0310, 18-M-00270

STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

CASE 18-M-0270 - Petition for Approval Pursuant to Public Service Law, Section 113(2), of a Proposed Allocation of Certain Tax Refunds between KeySpan Gas East Corp. d/b/a National Grid and Ratepayers.

EVIDENTIARY HEARING

DATE: June 21, 2021 at 10:01 a.m.

LOCATION: WebEx

BEFORE: ALJ James Costello

ALJ Maureen Leary

Reported by Howard Hubbard

APPEARANCES:

FOR PUBLIC SERVICE COMMISSION:
BY: BRANDON GOODRICH
NICHOLAS FORST

FOR NATIONAL GRID:
BY: PHILIP DECICCO
KEN MALONEY
CELIA O'BRIEN

FOR ALLIANCE FOR A GREEN ECONOMY
BY: JESSICA AZULAY
AVNI PRAEIN

FOR AARP
BY: SAUL RIGBERG

FOR SANE ENERGY PROJECT
BY: KIM FRACZEK
LEE ZIESCHE

ENVIRONMENTAL DEFENSE FUND
BY: ERIN MURPHY

NEW YORK GEO
BY: JOHN RATH

CITY OF NEW YORK
BY: ROBERT LOUGHNEY
ADAM CONWAY

NEW YORK DEPARTMENT OF STATE, UTILITY INTERVENTION UNIT
BY: KATHLEEN O'HARE
JILLIAN KASOW

PUBLIC UTILITY LAW PROJECT OF NY, INC.
BY: RICHARD BERKLEY

WITNESSES ON BEHALF OF KEDNY AND KEDLI:
JAMES MOLLOY
ROSS TURRINI
KELLIE SMITH
OWEN BRADY-TRACZYK
BRANDON DYER

ON BEHALF OF DPS
STAFF: ARIC RIDER
RONALD CALKINS
JOHN CASTANO
CHELSEA KRUGER
ROBERT CULLY
KATHRYN MAMMEN

ALSO PRESENT
BOB WYMAN
ROBERT WOOD
MARGOT SPINDELMAN
BENNY WOODARD

I N D E X O F P R O C E E D I N G S

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(On the record 10:01 a.m.)

A.L.J. COSTELLO: Hello, everybody. We're going to get started. Mr. Hubbard, we're going to go on record.

THE REPORTER: Okay, we're on the record.

A.L.J. COSTELLO: Thank you. We call case 19-G-0309. I'm proceeding on the Motion of the Commission as to the rates, charges, rules and regulations of the Brooklyn Union Gas Company, doing business as National Grid New York for Gas Service. Case 19-G-0310, proceeding on Motion of the Commission as to the rates, charges, rules and regulations of KeySpan Gas East Corp, doing business as National Grid for Gas Service, and case 18-M-0270, petition for approval pursuant to Public Service Law, Section 113, Subdivision 2, on a proposed allocation of certain tax refunds between KeySpan Gas East Corp, doing business as National Grid, and Ratepayers.

Good morning. My name is James Costello. I'm one of the Administrative Law Judges from the Department of Public Service assigned to these proceedings. With me here today is also Maureen Leary, another Administrative Law Judge from

the Department of Public Service, who is also assigned to these proceedings.

We're here this morning pursuant to a Notice of Evidentiary Hearing that was issued by the Secretary on May 28th, 2021. The principle purpose of this hearing is to accept the Joint Proposal and other exhibits into the evidentiary record and to allow cross-examination of witnesses from the companies and from the Department of Public Service staff.

We're conducting these proceedings via teleconference. We have a Court Reporter on the line with us who will be making a verbatim transcription of the proceedings. We ask when you speak to speak loudly and identify yourselves before you speak. The Court Reporter's name is Howard Hubbard, and we ask Mr. Hubbard to interrupt us and interrupt the speakers as necessary for clarity of the record.

So, what we're going to do is start with appearances, and I will call out the parties.

A.L.J. LEARY: Excuse me, Judge Costello. I see that there are a number of people who are not muted, and we will remove you from the hearing if you are not muted. That includes

telephones and computers. So, I'm going to give you an opportunity. We're hearing quite a bit of background noise from someone, or one or more people. So, unless you are muted, I'm going to ask our host to bump you out of the hearing. So, please mute both your telephone if you're calling in, and your computer if you are participating by WebEx. Thank you.

A.L.J. COSTELLO: Okay, so, I'm going to start calling out the parties, and when I call you out, please make your appearance for the record. You may be asked to spell your name. Mr. Hubbard, if you have any need for them to spell their name, please interrupt and ask for that information.

So, we'll start with the companies.

MR. DECICCO: Your Honor, for the Company, it's MR. DECICCO, D-E-C-I-C-C-O, Celia O'Brien, and Ken Maloney.

A.L.J. COSTELLO: Department of Public Service Staff.

MR. GOODRICH: Good morning, Your Honor. For the Department of Public Service Staff, we have myself, B-R-A-N-D-O-N, G-O-O-D-R-I-C-H, and Nicholas Forst, N-I-C-H-O-L-A-S, F-O-R-S-T.

A.L.J. COSTELLO: Okay, we have the Environmental Defense Fund.

MS. MURPHY: Good morning, Your Honor. This is Erin Murphy on behalf of the Environmental Defense Fund.

A.L.J. COSTELLO: New York Geo.

MR. RATH: Good morning. This is John Rath, R-A-T, like toy, H. I'm representing New York Geo.

A.L.J. COSTELLO: Good morning. City of New York.

MR. LOUGHNEY: Good morning, Your Honor. This is Robert Loughney, and also on the call is Adam Conway, representing the City.

A.L.J. COSTELLO: AARP New York.

A.L.J. LEARY: Mr. Wood, are you on the line? See – I don't see him. Do you? Unless he's calling in by phone.

A.L.J. COSTELLO: I don't see Mr. Wood. We'll go back to him. Alliance for a Green Economy.

UNIDENTIFIED SPEAKER: Good morning, Your Honor. This is [background noise] with Alliance for a Green Economy, and I'm joined by Aeni Praein.

A.L.J. LEARY: Would you spell the name of the person that you just referred to?

UNIDENTIFIED SPEAKER: Yes. It's Aeni, A-E-N-I, Praein, P-R-A-E-I-N.

A.L.J. LEARY: Thank you.

A.L.J. COSTELLO: BSC Owner. Not hearing anyone, we'll go to New Town Creek Alliance. Not hearing anyone, Sane Energy.

MS. FRACZEK: Good morning. This is Kim Fraczek with Sane Energy Project, and I'm joined by Lee Ziesche of Same Energy Project.

THE REPORTER: Wait a minute, this is the Court Reporter. Can I get the spelling of Kim's last name, please.

MS. FRACZEK: Sure. Kim, and the last name is F, like Frank, R-A-C, like Charlie, Z, like Zebra, E-K, and Ms. Ziesche's last name is Z-I-E-S [laughter] I hope I get this right, S-C-H-E.

THE REPORTER: Okay, thank you.

A.L.J. COSTELLO: Benny Woodard. We'll go back. Now, we're going to go on to a number of individuals who had filed opposition. If you're here, just let us know. Michael Weitzner. And if you're calling by telephone, if you need to unmute,

tap – hit star six to unmute yourself. So, that was Michael Weitzner, All Mark Energy. Barbara Cutrell. Clair Pawhey [phonetic spelling]. Elizabeth Adams. Mary Finnerman. Lee Weyden. Margo Spindelman.

MS. SPINDELMAN: I'm here, yes. This is Margo Spindelman. Thank you.

A.L.J. COSTELLO: Thank you. Nina Mellon Dandry [phonetic spelling]. Christina Naplatarski. Martha Upton. Danny Rovy. Mike Morgan. Jane Tally. John Pedemonte. Joseph Larwin. Julie Shapiro Gorman. Michael Davis. Thomas Barrow. Kimberly Brown. Peter Bronner. Wendy Roarer. Robert Wood. Evert Conkling Thompson. Judith Nappa.

Okay, is anyone here on behalf of the Utility Intervention Unit?

MS. O'HARE: Good morning, Your Honor. Kathleen O'Hare for the Utility Intervention Unit. Jillian Kasow is on the line as well, but she might be leaving early. Thank you.

A.L.J. COSTELLO: Public Utility Law Project.

MR. BERKLEY: Good morning, Your Honor. This is Richard Berkley for the Public Utility Law Project. We are being joined by our two interns

who will sit quietly and observe, representing -- in this proceeding today.

A.L.J. COSTELLO: Good morning.

A.L.J. LEARY: Mr. Berkley, would you state the names of the interns for the record?

MR. BERKLEY: Yes. Daniel, spelled conventionally, Russell, R-U-S-S-E-L-L. Our other intern is Rosy, R-O-S-Y. Her last name is Theema, T-H-E-E-M-A.

A.L.J. LEARY: Thank you.

MR. BERKLEY: Thank you, Your Honor.

A.L.J. COSTELLO: And were there any other parties who I have not called who are making an appearance? If so, let us know at this time.

MR WYMAN: Yes. Good morning, Your Honor. Bob Wyman here.

A.L.J. COSTELLO: Mr. Wyman, good morning.

MR WYMAN: It's okay, it's early. [laughter]

A.L.J. COSTELLO: We're going to go back to A -- AARP New York. Okay, and we'll go back to Mr. Woodard, Benny Woodard. Okay, we're going to move forward then.

MR. WOOD: Your Honor, Robert Wood is here. I just joined late, my apology.

A.L.J. COSTELLO: No problem.

MR. BERKLEY: Your Honor, this is Richard Berkley from PULP. I just got a text from AARP, saying, computer problems but they will be in shortly.

A.L.J. COSTELLO: Okay, thank you. The companies had circulated an updated exhibit list on Friday. The exhibit list that they provided carries over from the prior exhibit list with Exhibit Numbers 738 and 739. We then start with new exhibit numbers, starting with 740, and the exhibit list as provided by the company goes from 740 down through 837, is the last, which was on behalf of Sane Energy, and that was staff response to IR Wood -18. So, we have exhibit 740 to 837.

This morning, you may not have had the opportunity to see this yet. We sent around an exhibit list that's in draft form with those numbers included, and we also indicated in the email that we, there are going, are going to be adding certain documents to the exhibit list, and that would be the Quarterly Reports from -- just bear with me one

second -- Quarterly Reports of the Independent Monitor from Case 19-G-0678, and those will be separately marked as Exhibits 838 through 846. There's nine reports, Quarterly Reports.

We are going to add as Exhibit 847 the Petition and Appendix A to the Petition and the tax proceeding, Case 18-M-0270. And we're going to add as Exhibit 848 the Refund Update Letter in Case 18-M-0270.

We also noticed that there were two reports that were referenced on behalf of Ms. Azulay, which we're not adding, and we're going to add those to the Exhibit List. So, Exhibit 849 will be the Natural Gas Long-Term Capacity Report. And 850 will be the Natural Gas Long-Term Capacity Report Update.

So, at this time, I'm just going to run through parties and ask if you have any corrections to the Exhibit List, and I'm going to -- just stop me if you do. If you don't, I'm just going to continue with the list. So, we're going to start with companies.

MR. DECICCO: No, Your Honor, there's no corrections.

A.L.J. COSTELLO: DPS Staff?

Environmental Defense Fund? City of New York? Alliance for a Green Economy? Sane Energy? Margo Spindelman? Robert Wood? Public Utility Law Project? UIU? Bob Wyman?

And as I indicated, you know, if anyone had objections, they were to tell me. I didn't hear any. So, without any corrections. I'm sorry. And -- and now, we'll go to objections. If anyone has any objections to the Exhibit List, I'm going to run through them. The parties again, you do not need to respond unless you an objection.

So, we'll start with the companies. Hearing nothing from the Department of Public Service Staff, Environmental Defense Fund, New York Geo, City of New York. I'm going to see if AARP is on the line. Okay, I don't believe they're on the line as of, as of yet.

Alliance for a Green Economy? Sane Energy? Margo Spindelman? Robert Wood? Public Utility Law Project of New York? UIU? And Mr. Bob Wyman? Okay, having heard no objections, we're going to move the exhibits that we just identified into the record.

So, the next thing that we'll be doing

is, I'll be going to the witness panels, and before we do, I just want to let you know that we intend to have cross-examination first by Sane Energy, and then followed by AGREE, and then if AARP or Mr. Benny Woodard, both of them have reserved the right to conduct cross-examination. We will see if they want to. And that's the order that we're going to go into -- in.

So, we're now going to turn to the witness panels, and if both the companies and the Department of Public staff have identified their witnesses who are going to be on the panels. So, what I'm going to do is just read out the names, and just make sure you let us know that you're present. So, on behalf of the companies, we have James Molloy.

MR. MOLLOY: I'm here.

A.L.J. COSTELLO: Good morning. Ross Turrini?

MR. TURRINI: Present.

A.L.J. COSTELLO: Kellie Smith?

MS. SMITH: Present.

A.L.J. COSTELLO: Owen Brady-Traczyk?

MR. BRADY-TRACZYK: Present.

A.L.J. COSTELLO: And Brandon Dyer?

MR. DYER: Present.

A.L.J. COSTELLO: And then we're going to go to the Department of Public Service staff. Aric Rider?

MR. RIDER: Here.

A.L.J. COSTELLO: Ronald Calkins?

MR. CALKINS: Present.

A.L.J. COSTELLO: John Castano?

MR. CASTANO: Here.

A.L.J. COSTELLO: Chelsea Kruger?

MS. KRUGER: Present.

A.L.J. COSTELLO: Robert Cully?

MR. CULLY: Present.

A.L.J. COSTELLO: And Kathryn Mammen?

MS. MAMMEN: Here.

A.L.J. COSTELLO: Okay, and let me just ask the companies, did I get all of the witnesses that you have identified?

MR. DECICCO: Yes, Your Honor.

A.L.J. COSTELLO: And Mr. Goodrich, did I get all of the witnesses that you identified?

MR. GOODRICH: Yes, Your Honor.

A.L.J. COSTELLO: Thank you. So, I'm just going to give you some brief instructions.

Because we're doing this by teleconference, when you speak, we'll just ask you that you identify yourself for the record each time you start up, unless you're continuing with a response, then, you know, it's not necessary. When you're finished, you can either say, that's my answer or I'm finished, so that we're aware, we don't speak over you.

Do not use any acronyms, unless you first use the full term and explain that you'll be using it as an acronym and what the acronym is going forward. If someone objects to a question that's asked, if one your attorneys objects, don't respond. Wait until we rule on the objection.

The attorneys and representatives are prohibited from communicating with their witnesses during cross-examination. And at this time, I'm going to ask counsel to affirm on the record that they will not communicate with their witnesses during cross-examination, and I ask that first of the companies representatives.

MR. DECICCO: Your Honor, Phil DeCicco on behalf of the companies. I affirm that.

A.L.J. COSTELLO: Okay, and I'll go to Department of Public Service staff.

MR. GOODRICH: This is MR. GOODRICH on behalf of the Department of Public Service. Yes, I affirm that I won't communicate with witnesses.

A.L.J. COSTELLO: Thank you. All right, to ensure that we have an accurate evidentiary record, we ask that witnesses not accept statements as true subject to check, unless you -- it's absolutely necessary, and the information then would be -- we'd want you to verify that information. We'll take a short break and allow you to do that on the record today.

If a witness is permitted to make a statement, you -- you must verify the accuracy of that statement before you're excused. So, we'll make sure that you have the opportunity to do that, but it must be done today.

MR. MALONEY: Your Honor, this is Ken Maloney for the company. Before we proceed with the cross-examination, in preparing responses to Your Honor's questions, in ALJ-1 -- the companies identified certain errors associated with the costs of the MRI Project in the Joint Proposal, and what I would propose, if it's okay with Your Honor, is just if I ask Mr. Molloy to describe the error and the nature of the correction.

A.L.J. LEARY: Excuse me, Mr. Maloney, thank you very much for that. I -- you literally read my mind.

MR. MALONEY: [Laughter]

A.L.J. LEARY: There are two attachments. Just for clarification, there are two attachments to ALJ-1 regarding the Metropolitan Reliability Infrastructure Project. Are those two attachments intended to be replacement for existing appendices or exhibits to the Joint Proposal?

MR. MALONEY: I think there were three attachments to ALJ-1.

A.L.J. COSTELLO: Mr. Maloney?

MR. MALONEY: Sorry, Ken Maloney, yeah. And the first attachment included three - well, included the stated pages of the appendices that needed to be adjusted. We had Appendix One, Schedule Three, that needed to be adjusted, all three pages. Appendix Six, Schedule Seven needed to be adjusted. Appendix One, Schedule Four, Page 1 needed to be adjusted. And Appendix 1, Schedule 5, Page 1, we needed to remove the MRI Project from that page.

A.L.J. LEARY: Okay, just so that we are on the, pardon the pun, same page, I have on

Attachment 1, an Excel spreadsheet with six, what I'll call, worksheets. The first is Rate Evaluation. The second is Deferral Amortization. The third is MRI P5 Removal. And the fourth is Net Plant Tracker. The fifth is Rate Year Four Cap. And the fifth tab is Capex. Are those what you were just referring to?

MR. MALONEY: Yes, they are.

A.L.J. LEARY: Thank you. So, this, just for all of the parties, included with MRI-1, electronically was this Excel spreadsheet, which we will consider to be a part of what is now Hearing Exhibit 815, 8-1-5.

And the second question I have is in responding to ALJ-1, you indicated in Subsection C of that question, so it would be ALJ-1-C, you referred to DPS 1091, Sane 26, and Sane 28. I just want to make sure that those are all included in the existing Exhibit List. I believe they are, but I -- I do not believe that they are on the Exhibit List just provided by the company. I'm taking this from memory because I remember -- I thought DPS 1091 was in fact previously admitted, but I could be wrong about that. So, where are those -- yes?

MR. GOODRICH: This is MR. GOODRICH

for staff. I can speak to you Sane 20 -- the response to Sane 26. That's one of the appendices to staff, I believe it's initial statement. So, that is -- is in the record. The other ones, I'm -- I'm not sure off the top of my head.

A.L.J. LEARY: So, these are not on the current Exhibit List. Is that correct, Mr. DeCicco?

MR. DECICCO: Mr. Maloney, I believe that they're not separately listed as exhibits on the list because they're part of Attachment Two to ALJ-1, but they're not separate listed in that, as far as I know.

A.L.J. LEARY: Oh, okay, that I didn't see. I did not see. No, they are not. They are not attached to ALJ-1. And they're not attached to the Excel spreadsheet. So, where are they?

MR. DECICCO: So, they were circulated, Your Honor, as attachments, the challenge being that they were large PDF files. So, I believe they went out, probably in the last 24 hours. We broke them up into smaller files and sent them around. It was circulated to the parties. They were sent as the attachment to that, to that IR response,

but they have been circulated as PDF files.

A.L.J. LEARY: I'm not asking about that. I'm asking about where in the record I may find the things referred to in A -- the response to ALJ-1-C. Where are those documents in this exhibit list?

MR. MALONEY: Well, Your Honor, this is Ken Maloney. They were intended to be part of the response to ALJ-1, but as Mr. DeCicco described, sending it back to the parties, he had to break them up.

A.L.J. LEARY: Okay, again, I get that you got them out to the parties. Where are they on this list? If they are not on this list, we're going to put them on the Exhibit List now.

MR. GOODRICH: Your Honor, this is MR. GOODRICH. May I suggest that the response to ALJ-1 doesn't identify any attachments what -- whatsoever, yet there's a number of attachments. And it's Exhibit 815, and it says it's eight pages. Perhaps the, the description to response to ALJ-1 can just be amended to note that it's got the three attachments.

A.L.J. LEARY: It does not have in my -- on my computer screen, I do not have any

attachments to ALJ-1 beyond the Excel spreadsheet that I just referred to.

MR. DECICCO: Yes, that's -- that's what we're saying. The company circulated them, and we're saying, all we have to do is amend the, the Exhibit List to note that and make sure that the, the attachment three ends up in the -- along with the rest of the responses.

A.L.J. LEARY: Okay, so, this is what I'm going to ask the company to do, is I only have eight pages, it appears, for IR, ALJ-1, which is Exhibit 815. I see on my screen that there are referred to attachments, namely Attachment One, Attachment Two. I thought I saw Attachment Three. Yes. Attachment One in response to ALJ-1-A, and Attachments Two and Three in response to ALJ-1-C. So, not only do we need those attachments, we need them somehow listed here. Mr. Goodrich has, I believe, the solution to that. So, I'm going to ask the company to revise the Exhibit List from Exhibits 815 down to 833. And what I want you to do is say, not just response to IR -- IR, ALJ-1, but to include the subject of that particular response. So, for example, ALJ-1 would be MRI. And you're going to

list the number of attachments and you're going to identify the attachments referred in, in that response.

So, when those exhibits are circulated, or filed, we obviously need them. It sounds like all the other parties have what is referred to here. We do not. We will then have, I believe, revised number of pages, at least on ALJ-1, Exhibit 815. Is that correct? I'm asking the company and Mr. Goodrich. Is that correct?

MR. MALONEY: Your Honor, Ken Maloney. That sounds correct, that utility.

A.L.J. LEARY: Excellent.

MR. GOODRICH: And Your Honor, this is Mr. Goodrich. I'm looking in my email. It appears that the, the Attachment Three, Parts One and Two, were sent by Kathleen Hitt on behalf of the company at 9:03 a.m. on -- 9:03 p.m. on Sunday [background noise] and it looked -- I see your name on it. I see both of your names on it, Your Honors.

A.L.J. LEARY: Okay, that's helpful. I, I simply saved what the company sent. So, I will figure out why I don't have those attachments saved in what's in front of me. Do you have them? Yeah,

Kat Hitt.

MR. DECICCO: Your Honor, we'll resend them all so there, there all available [crosstalk].

A.L.J. LEARY: Yeah, no, it's fine. I actually, I just assumed that this was, you know, that we had this already as a part of the zip file that you circulated. That was my assumption that was incorrect. Okay. All right. I still want the Exhibit List revised, and if the company would also add the documents that Judge Costello referred to, that is the quarterly monitoring reports, the tax petition, and the appendix to the petition, the company's update letter on the tax proceeding, and then the two documents that AGREE is seeking to add, I believe came in over the weekend as well. So, we'll circulate a revised Exhibit List that's a little bit clearer here.

I would also suggest that Sane provide the companies with a description of the Robert Wood IR responses so that there is some kind of a descriptor after that about the subject matter related to those responses. Thank you.

A.L.J. COSTELLO: Okay, we're going to go back to the witnesses. What I'm going to do now

is swear the witnesses in. I'm going to state their names individually. I'm going to -- first I'll, I'll read out the -- I'll swear them in. I'll, I'll ask them to affirm or swear that the testimony will be true. I'll read out each name. When I do, I ask that the witness state their name, their business address, and their response to, to them both.

So, I'm going to start by asking the witnesses to raise your right hand. And do you swear or affirm that the testimony you will provide is the truth? I'll start with James Molloy.

MR. MOLLOY: James Molloy. I do swear.

A.L.J. COSTELLO: And just, I'm sorry, I just want to get your business address on the record too. So, I'm going to ask all of you to just include your business address when you -- after you state your name.

MR. MOLLOY: 40 Sylvan Road, Waltham, Massachusetts.

A.L.J. COSTELLO: Thank you. Ross Turrini?

MR. TURRINI: Ross Turrini, 25 Hub Drive, Melville, New York, and I affirm.

A.L.J. COSTELLO: Thank you. Kellie Smith?

MS. SMITH: This is Kellie Smith. Business address is 300 Erie Boulevard West, Syracuse, New York, and I affirm.

A.L.J. COSTELLO: Thank you. Owen Brady-Traczyk?

MR. BRADY-TRACZYK: I'm Owen Brady-Traczyk, 1 Metro Tech Center, Brooklyn, New York, and I swear.

A.L.J. COSTELLO: Thank you. Brandon Dyer?

MR. DYER: This is Brandon Dyer, 1 Metro Tech Center, Brooklyn, New York, and I affirm.

A.L.J. COSTELLO: Thank you. Aric Rider?

MR. RIDER: I'm Aric Rider. Business address is 3 Empire State Plaza, Albany, New York, and, and that is the same for all of the staff witnesses. And I affirm.

A.L.J. COSTELLO: Thank you. Ronald Calkins?

MR. CALKINS: This is Ronald Calkins. I affirm.

A.L.J. COSTELLO: John Castano?

MR. CASTANO: This is John Castano. I affirm.

A.L.J. COSTELLO: Chelsea Kruger?

MS. KRUGER: This is Chelsea Kruger, and I affirm.

A.L.J. COSTELLO: Robert Cully?

MR. CULLY: Robert Cully. I do so swear.

A.L.J. COSTELLO: Okay. Kathryn Mammen?

MS. MAMMEN: This is Kathryn Mammen, and I affirm.

A.L.J. COSTELLO: Thank you. Just before we turn it over for cross-examination, there's just two more things we want to get out of the way. And first, I'm going to ask counsel for the companies and also counsel for the Department of Public Service Staff if they'll stipulate that the pre-filed testimony and exhibits, as the testimony during the prior Evidentiary Hearing represented or provided a true and accurate representation of the positions that they would have taken had this case not resulted in a joint proposal. And I'm going to turn to the

companies first.

MR. DECICCO: Yes, Your Honor. Phil DeCicco for the companies. We stipulate.

A.L.J. COSTELLO: And I'll turn to the Department of Public Service Staff.

MR. GOODRICH: MR. GOODRICH for the Department of Public Service Staff. Yes, we stipulate.

A.L.J. COSTELLO: Okay, also, I just want to ask counsel if you can through your witnesses have them adopt the factual representations made in the statements and support that position. I'm sorry, support of the Joint Proposal. So, it will be the factual representations in the statements and prior statements in support of the Joint Proposal, have them adopt that as sworn testimony in this case -- in these cases. And we'll start with the companies.

MR. MALONEY: Yes, Your Honor, Ken Maloney. I did ask the panelists, are you familiar with the company's statement?

MR. MOLLOY: James Molloy. Yes, I am.

MR. TURRINI: Ross Turrini. Yes, I am.

Kellie Smith: Kellie Smith. Yes.

MR. BRADY-TRACZYK: Owen Brady-Traczyk. Yes.

MR. DYER: Brandon Dyer. Yes.

MR. MALONEY: And do you adopt those factual statements as sworn testimonies in this proceeding?

MR. MOLLOY: James Molloy. Yes.

MR. TURRINI: Ross Turrini. Yes.

MS. SMITH: Kellie Smith. Yes.

MR. BRADY-TRACZYK: Owen Brady-Traczyk. Yes.

MR. DYER: Brandon Dyer. Yes.

MR. MALONEY: Thank you, Your Honor.

A.L.J. COSTELLO: Thank you. Department of Public Service Staff?

MR. GOODRICH: Your Honor, this is MR. GOODRICH for the Department of Public Service Staff. Panel members, are you familiar with the staff's statement in support of Joint Proposal and Appendices One and Two, filed in the proceedings on June 2 and marked as Exhibits 778 through 780?

MR. RIDER: This is Aric Rider on behalf of the Staff panel. Yes.

MR. GOODRICH: And Panel, are you

familiar with the staff and Appendices One through Four filed in these proceedings on June 14, 2021, and marked as Exhibits 804 through 808?

MR. RIDER: This is Aric Rider on behalf of the Staff Panel. Yes.

MR. GOODRICH: And do you adopt the factual statements contained in the staff statements and the appendices as your sworn testimony in these proceedings?

MR. RIDER: This is Aric Rider on behalf of the Staff Panel. Yes.

A.L.J. COSTELLO: Okay, before, I just want to make sure, is there any other foundation? I'm not saying you have to, I'm just, don't want to prevent you from doing it. Any other foundation you want to provide, Mr. DeCicco?

MR. DECICCO: No, Your Honors.

A.L.J. COSTELLO: Okay, and Mr., Mr. Goodrich, I assume your -- there's no further foundation.

MR. GOODRICH: Right, Your Honors.

A.L.J. COSTELLO: Okay. Thank you. All right, so, the panel are now available for cross-examination, and we will start with Sane Energy. And

let me just, before we start with cross-examination, let me just see if AARP has been able to join us. And if you are on the line, you're on a telephone, you have to hit star six. Okay, not hearing anyone, I also wanted to see if Mr. Benny Woodard has joined us.

MR. WOODARD: Hi, this is Benny Woodard. I just joined a few minutes ago.

A.L.J. COSTELLO: Okay. Welcome, Mr. Woodard.

MR. WOODARD: Thank you.

A.L.J. COSTELLO: Okay, we are now ready for cross-examination, and Sane Energy is going to be asking questions at this time.

MS. ZIESCHE: Thank you, Judges. This is Lee Ziesche. My last name is Z-I-E-S-C-H-E. I'm sorry, I did have one question before we begin. I would like to ask the companies about ALJ-12, their response, would that need to be added as an exhibit first?

A.L.J. COSTELLO: No, they're already, they're already on the exhibit list.

MS. ZIESCHE: Okay.

A.L.J. COSTELLO: We just had to give

them an opportunity to, to look at the document. So, we'll just take a moment.

MS. ZIESCHE: Totally, yeah, I mean, I'll ask about it later, but I just wanted to make sure before I got too, too into it. So, my first question is for Staff's panel. I would like Staff to direct your attention to your Reply Statement, on Page 9. On that page, you said, there is no evidence --

A.L.J. COSTELLO: Let's just make sure, when you ask them to refer to something, just ask, make sure that they've gotten there just before you start your question.

MS. ZIESCHE: Got you. Sorry, it's so hard --

A.L.J. COSTELLO: It's a difficult -- it's a difficult process, so, especially in this format.

MS. ZIESCHE: Are the -- is Staff on that page?

Unidentified Speaker: Yeah.

MS. ZIESCHE: So, on Page 9, you said, there is no evidence in these cases --

A.L.J. COSTELLO: I'm sorry, hold on.

Hold on. Let's wait until we get there.

MS. ZIESCHE: Oh, I thought someone said yes. I apologize.

A.L.J. LEARY: You know, I'm, I'm again hearing a significant amount of background noise, like a microwave dinging. Please put your phone on mute, and that includes you, Ms. Ziesche, if there is background noise, we cannot have that in this hearing.

Unidentified Male: I'm ready.

A.L.J. LEARY: Okay, Ms. Ziesche, proceed.

MS. ZIESCHE: All right, so, on Page 9, Staff said, there is no evidence in these cases that the location of the Metropolitan Reliability Infrastructure Project, which I'll refer to from now as MRI Project Phase One through Phase Four, for the proposed projects at the Greenpoint LNG facility, quote, this proportionately burdened disadvantaged communities, and quote, as discussed further in Section Three, 5.31, below, the MRI Project was reviewed in the 2016 rate cases, and included in the capital expenditure budgets authorized in the 2016 rate order.

So, I want to clarify Staff's position on this. Is Staff disputing that these projects are not located in disadvantaged communities, or that there just isn't evidence that the projects would disproportionally disadvantaged communities?

MR. GOODRICH: The witnesses are conferring amongst themselves.

MR. RIDER: This is Aric Rider. I think the statement is clear that what is said there is there is no evidence in these cases that the location of the MRI Project Phase One through Four for the proposed projects at the Greenpoint LNG facility disproportionally burdened disadvantaged communities.

MS. ZIESCHE: But you are not saying they are not disadvantaged communities?

MR. RIDER: I think the statement is clear.

MS. ZIESCHE: All right.

A.L.J. LEARY: Mr. Rider. Ms. Ziesche, Ms. Ziesche, hold on a second. Let me see if I can cut through this. There's a difference between no evidence and whether they are in fact in disadvantaged communities. I agree with you, Mr.

Rider, that it says no evidence, but I think Ms. Ziesche is asking you whether you know, or the panel knows whether they actually are located in disadvantaged communities, whether there's evidence in this record or not.

MR. GOODRICH: Your Honor, I'm sorry, this is Mr. Goodrich. I have to say, I heard Ms. Ziesche's questions as different. I heard her question as being whether we were disputing, A, that physical location, or B, whether the location represented a disproportionate burden. If she could clarify her question, I would appreciate that, before the panel can answer.

A.L.J. LEARY: Go ahead, Ms. Ziesche.

MS. ZIESCHE: Yeah, I mean, what my question was is, does staff dispute that these are located in disadvantaged communities.

MR. GOODRICH: And while -- the panel can respond, but I -- the location is the location.

A.L.J. LEARY: So, let's have the panel respond.

MR. RIDER: This is Aric Rider. Is there a specific definition of disadvantaged communities?

MS. ZIESCHE: I could pull it up, but I mean, you use that term. I would do it. I would refer to the way that you defined it in your own testimony.

A.L.J. LEARY: Well, it's actually in -- you're referring to their reply, Ms. Ziesche, correct. So, on Page 9 of their reply, they use the term, quote, disproportionately burdened -- burden disadvantaged communities, end quote. And if you were referring to testimony, you're going to have to identify the testimony for the record, in which that term was used, if I am mistaken, Ms. Ziesche.

MS. ZIESCHE: Yeah, I would have to come back to that to pull it up. I don't have it right in front of me, but I can come back to that and move on for now if they refuse to answer the question.

A.L.J. LEARY: Well, well, hold on a second. We -- I'm trying to make us not have to be here all week. So, staff, you used the term, disproportionately burden disadvantaged communities in quotes in the reply. I'm wondering why you're now asking what the definition is if that's actually what you quoted. I don't have a footnote after that to

tell where this quote came from.

MR. GOODRICH: Your Honor, this is Mr. Goodrich. It's language from the CLCPA, Section 7.3.

A.L.J. LEARY: Yep, that was my understanding, but again, thank you for clarifying that for the record. So, does that help, Mr. Rider, or your panel members with Ms. Ziesche's question?

MR. RIDER: This is Aric Rider. Yes, it does. I wanted to make sure that we were -- had the same understanding.

MR. GOODRICH: Can, can we -- I'm sorry, but can you please repeat the question one more time to make sure that we're all on the same page at this point? I apologize.

MS. ZIESCHE: So, my question was, is Staff disputing that these projects, the MRI pipeline and the Greenpoint LNG facility, are located in disadvantaged communities.

MR. RIDER: This is Aric Rider. The response is no; however, we are testifying that there is no evidence in the case that they're disproportionately burdened.

MS. ZIESCHE: Thank you. In your 2016 review of the MRI pipeline, in that 2016 case, did

Staff do an assessment of the demographics of the community the pipeline would go through?

MR. GOODRICH: Objection. The CLCPA was not adopted until -- oh, my god, time is blending -- 2019 or 2020. I forget which now. But – 2016 -- so it's not relevant.

A.L.J. LEARY: Well, yeah, Ms. Ziesche, do you understand that, CLCPA became effective, I believe in January of 2020, so it would not have been part of the analysis in the last rate case.

MS. ZIESCHE: Yeah, I mean, I believe there are other environmental justice laws that would have people look at -- I'm just curious if the Staff even looked at the, the demographics in 2016. I'm, I'm fully aware of when the CLCPA was passed.

MR. GOODRICH: Well, I would further object that this trial staff team is the trial staff team for the 2019 rate cases. The 2016 rate cases were different cases. What was or was not looked at in those cases is a matter of the record evidence of those cases.

A.L.J. LEARY: Okay, so, is there anyone on the panel that was a part of the last rate

case, is the threshold question.

MR. GOODRICH: Your Honor, I believe there is, but [crosstalk]

A.L.J. LEARY: Okay, hold on. The second -- Mr. Goodrich, the second question is if there is, does that panel member or those panel members have an answer to Ms. Ziesche's questions -- question about whether in that rate case, environmental justice issues were evaluated. Do you remember?

MR. RIDER: This is Aric Rider. I was a member of the staff's team in 2016; however, I don't recall as more than five years have passed since that case. I, I don't recall the, the entirety of the analysis or types of projects that occurred in that case.

A.L.J. LEARY: Thank you. Go ahead, Ms. Ziesche.

MS. ZIESCHE: Thank you. In your review of the MRI pipeline in this case, in 2019, and beyond, did the staff do an assessment of the demographics of the communities that the pipeline would go through?

MR. RIDER: This is Aric Rider. No.

MS. ZIESCHE: Thank you. Did staff do an assessment of the demographics of the communities surrounding the Greenpoint Liquified Natural Gas facility, which we will refer to as the LNG facility?

MR. GOODRICH: Objection. The Greenpoint LNG facility has been there since the 1970s, or older.

A.L.J. LEARY: Ms. Ziesche, do you want to clarify your question?

MS. ZIESCHE: Well, I mean, the -- as you all just pointed out, since 2019, there's been new laws that have extra protections for environmental justice communities, so I don't see why the facility having existed in a specific location does prevent them from answering a question about whether they looked at those demographics for this project.

MR. GOODRICH: But we -- the facility was there. There's no -- I don't -- I don't understand what they -- what --

A.L.J. LEARY: Mr. Goodrich -- got it. Mr. Goodrich, I think Ms. Ziesche's asking, in this case, in these rate cases, was an assessment done of Greenpoint, and whatever vaporizers or different

kinds of things are being done under this rate plan, or these rate plans.

MR. RIDER: So, this is Aric Rider. The Greenpoint facility has been located in that location for decades, and I don't -- while staff did not do an analysis, I don't know what type of analysis would be done because those types of facilities can only be located there because that's where the LNG plants are.

MS. ZIESCHE: Yeah, so, I just want to clarify, there was no assessment of the demographics done in this case around the Greenpoint LNG facility.

MR. RIDER: This is Aric Rider. I've responded.

MS. ZIESCHE: All right. Did -- so, for my next line of questioning, did staff read Sane Energy Project's initial brief?

MR. RIDER: This is Aric Rider. There is -- I just want to make sure that we're going to look at the correct document. We've had hearings in this case that took place almost a year ago, and, and I want to make sure what you're referring to. I'm not quite sure.

MS. ZIESCHE: This was Sane Energy

Project's initial brief. I believe it was filed in May 2020, when we were filing initial briefs in response to the litigated case.

MR. RIDER: Okay, thank you. Your Honor, we have the document pulled up.

MS. ZIESCHE: So, my question was, did staff read that initial, the initial brief when it was filed.

MR. RIDER:This is Aric Rider. Yes.

MS. ZIESCHE: I'd now like to direct your attention to Page 6, Footnote 18. I'll give you a -- let me know when you, when you are there.

A.L.J. LEARY: Ms. Ziesche, is this your initial brief?

MS. ZIESCHE: Yes.

A.L.J. LEARY: Thank you.

A.L.J. COSTELLO: Page 6. I'm sorry, I, I have the, the monitor in the room. You said Page 6, Footnote what?

MS. ZIESCHE: Eighteen.

MR. GOODRICH: I think I'm on Page 6, and it's Footnotes Six through Nine.

MS. ZIESCHE: Let me, sorry, let me bring up the document. I apologize if my notes are

incorrect.

MR. GOODRICH: I'm sorry, you -- this is your initial brief, correct? I just wanted to make sure I didn't screw up, pulling up the wrong document.

MS. ZIESCHE: Yeah, sorry, I might have the wrong notes. I apologize. I'm sorry, it is --

A.L.J. LEARY: Excuse me, Ms. Ziesche. I also want to correct for the record that your brief was not filed in May. It was filed on April 6, 2020.

MS. ZIESCHE: Yes, thank you. I apologize. It is Page 9. I was looking at April 6th when I wrote this down, but it is Footnote 18. I apologize. So, this is Sane's initial brief, Page 9, Footnote 18. And just let me know when you are there. Thank you.

MR. RIDER: So, this, this is, this is Aric Rider. We are there.

MS. ZIESCHE: Did staff review the map referenced on Page 9, Footnote 18, which was generated by the New York Department of Environmental Conservation, referred to later as DEC, that shows the entire route of Phases Four and Phase Five and

the Greenpoint LNG facility within potential environmental justice areas?

MR. RIDER: This is Aric Rider. I just clicked on that link in the document, and the link is broken. It says the miss -- the page is missing.

MS. ZIESCHE: Would this be the first time that staff is looking at this, because what I'm asking is, was that previously reviewed?

MR. RIDER: This is Aric Rider. There's multiple folks on staff's team that, that read documents, and me -- this panel right here, we just clicked on this link to refresh our memory of what we potentially could've read almost 14 months ago, and the link is broken. So, I just don't recall what the link had said.

A.L.J. LEARY: So, Ms. Ziesche, there's no way that this panel can refresh their recollection of having reviewed this particular information that you're seeking because of the link. So, you, you, I think, you know, you're going to have to move on because they cannot bring up this link, and I actually tried it, and I could not as well.

MS. ZIESCHE: Yeah, I mean, I know for

a fact that it was working when we filed that testimony, and I'm happy to resubmit it, but I actually didn't even have any questions about it particular, I was just wondering if the staff had reviewed that map.

A.L.J. COSTELLO: What they're telling you, Ms. Ziesche, is that they need to refresh their recollection by looking at it, and since they can't do that, they can't refresh their recollection, and therefore, we have to move on.

MS. ZIESCHE: All right, got it. Thank you. I would now like to direct the staff to Sane Energy Project's direct testimony, which, I'm sorry, was filed in 2019. I can find the month if -- or documents as the ones that we would be referring to. Do you have Sane Energy Project's direct testimony?

MR. RIDER: This is Aric Rider. Yes, we have it pulled up.

MS. ZIESCHE: Thank you. Did staff read Sane Energy Project's direct testimony?

MR. GOODRICH: So, I'm just going to object to this line of questioning. It's just -- it's in the record, and staff will -- can stipulate

that we reviewed the testimony and briefs, generally speaking, that all the parties submitted. You know, trial staff did that at some point in this proceeding, but asking if we reviewed testimony that was submitted almost two years ago at this point is not adding much to the record here, I don't think.

A.L.J. LEARY: We're going to sustain that objection. So, Ms. Ziesche, do you have a follow-up question? You could -- and given the stipulation that staff is making, that you can assume that staff has reviewed everything that was filed in the case, including Sane's briefs, testimony, et cetera. Do you have another question?

MS. ZIESCHE: Specifically, to see if they had reviewed another report, which contradicts their statement that there is no evidence in this case. And I apologize, my neighbor's dog is barking.

A.L.J. LEARY: So, would you like to provide reference in the record to that report and ask staff about that report?

MS. ZIESCHE: Yes, I would. Sorry, I was -- I wasn't sure if I had to, like -- yes. So, can I? I'll do that now. Can staff please direct your attention to Page 5, Footnote 3, of Sane Energy

Project's direct testimony?

A.L.J. LEARY: Again, Ms. Ziesche, just, just identify the name of the report as well so that staff knows where you're going.

MS. ZIESCHE: Sure. It is the Compendium of Scientific Medical and Media Findings Demonstrating Risks and Harms of Fracking.

MR. GOODRICH: So, this is Mr. Goodrich. I am going to object to, to the fact that, I mean, testimony is as given orally, and footnotes are not actually allowed in testimony under our regs, and any reports to the extent they, they want to be placed in evidence should've been submitted as exhibits and not, not linked footnotes.

A.L.J. LEARY: Yeah, again, we're going to sustain the objection, Ms. Ziesche, if you needed this report to come in, and I'm actually questioning the materiality. I'm not sure about the relevance, but I'm questioning the materiality of this report. So, we're going to sustain that objection. And do you have something else you'd like to ask staff now?

MS. ZIESCHE: About this particular testimony, are there other questions? Yes. And I

would just like to say, for the record, it's kind of ridiculous that people who are not lawyers cannot -- I mean, how would I know that linking it in a footnote does not count as evidence?

A.L.J. LEARY: Well, the things that you want people to answer questions about cannot be just a one-line reference. They have to be able to have it in their hands, today, to look at it and be familiar with it and be able to respond to your questions. So, you're placing the panel in an untenable situation by not having this particular report in the record. They do not have it in order to be able to respond to your questions.

MS. ZIESCHE: Yes, and my only question that I've had on any of these is if they've reviewed these documents or not. I don't actually have any specific questions about the documents themselves.

A.L.J. LEARY: So, I -- Mr. Goodrich, I think the panel can answer that question, whether they've reviewed that report or are familiar with it.

MR. GOODRICH: The panel is conferring amongst themselves.

A.L.J. LEARY: Thanks.

MR. RIDER: This is Aric Rider. At the time this document was filed, I believe the staff team had, had read it and reviewed it.

MS. ZIESCHE: Thank you. Did staff review the study that Sane Energy attached at Sane Exhibit 16? This one, we did attach as an exhibit from Linnaeus University, the name of the -- sorry, the name of the study is Detection of Norm Contamination in LNG Systems. Did staff review that report?

MR. GOODRICH: This is Mr. Goodrich. I'm, I'm just looking for it to pull it up on the screen for, for the witnesses. That was attached to your – the blank statement.

MS. ZIESCHE: Our statement and opposition.

MR. GOODRICH: The initial one?

MS. ZIESCHE: Yes, the initial one.

MR. GOODRICH: The panel is going to confer for a moment.

MR. RIDER: So, this is Aric Rider. I think I'd first like to say that these cases were filed in early 2019, and you know, when evidence is entered into the record, staff has an opportunity to

read, conduct discovery on certain pieces of evidence that parties are submitting into the case, and this, this document was entered into the record in June. So, while we've looked -- you know, we, we see that it's on the record, we didn't have that same opportunity to, you know, do a thorough analysis on it.

MS. ZIESCHE: All right. Has staff read the public comments in this rate case?

MR. GOODRICH: So, I'm going to renew my objection from before. Generally speaking, staff reviews the record in a case. We've stipulated to that.

A.L.J. LEARY: We're going to sustain the objection, Ms. Ziesche. It -- it -- you know, there are 8300-plus public comments, for which Judge Costello and I are responsible for reviewing. So, I think that's helpful to you. They, they are included in the record for the Commission's consideration, but for myself, in light of the repetition among many of the comments, I think you want to -- you may not want to expect anybody to have read every single word. And yet, I can tell you, Judge Costello and I probably have. But I don't think you necessarily

should impute that to staff. Staff deals with evidence that is in the record directly as a part of this proceeding. That's their main focus. So, if that's helpful, where that line is. Do you have another question for the panel?

MS. ZIESCHE: Well, I guess, I mean, my follow-up question was that, does the staff consider public comments evidence?

A.L.J. LEARY: You know, again, this is a – this – you're asking for – you're asking a question that really has – goes to the question of the, the weight of various things that are in the record of this proceeding. So, again, this is, this is just hypothetically speaking, from my perspective, people who are publicly commenting are not witnesses to this proceeding. They are not sworn in the proceeding to testify. They are not participants in the proceeding that have to operate within the confines of the Commission's regulations. So, I don't want you to ask the panel for a legal conclusion about public comments. I'm not going to -- I'm not going to -- I'm not going to force them to answer that question.

I can tell you that those public

comments are in the record of this proceeding for the Commission's consideration, especially the number of them, 8300, plus. I think last count, right.

So, do you have another question you want to pose to the panel?

MS. ZIESCHE: Yes, so, the word safety is used numerous times within your joint -- within the Joint Proposal, Staff's Statement of Opposition and Reply Statement. Can you please define all of the components that the staff considers around safety?

MR. GOODRICH: Before the panel answers -- this is Mr. Goodrich. I want to make sure that the record is clear and correct, that Staff submitted a Statement in Support, not opposition.

MS. ZIESCHE: Yes, I apologize.

MR. GOODRICH: At this time, the panel will confer amongst themselves.

MR. RIDER: This is Aric Rider. Can you please repeat the question?

MS. ZIESCHE: Yes. The word safety is used numerous times within the Joint Proposal, Staff Statement of Support, and Reply Statement. Can you please define all the components that Staff considers

around safety?

MR. RIDER: This is Aric Rider. Can you point me to where in the document that you want me to, to consider that? I think that the document speaks for itself in each of those areas. I, I could clarify if you'd like me to.

MS. ZIESCHE: You used the term very broadly as the whole proposal is about safety. I can pull up a number if you give me a second. But in general, how -- I'm asking how the staff -- what components you're looking at when you're determining the safety. That is, you know, one of the main things you say you're looking at within this Joint Proposal.

MR. RIDER: Yeah, I mean, if you want to -- this is Aric Rider. If you pull up a location in the document, I could clarify.

A.L.J. COSTELLO: Yes, Ms. Ziesche, why don't you just give some examples so that they can -- they have something that they can look at and respond to so that we don't have to keep going back and forth because I understand what you're saying, but if you show a few examples, then you can make the broader question and see if applies broader than

those few examples.

MS. ZIESCHE: Just re, rephrase my question, is public health looked at, at all, in the Department of Public Services' assessment of the safety of a project?

MR. GOODRICH: Objection. Public health is very broad and it's difficult to, to understand how, you know, what, what you're, you're intending folks to, to be looking at. That phrase.

A.L.J. LEARY: So, Ms. Ziesche, let me just see if I can understand correctly, because the word safe is used in the Public Service Law, as you know, and it's a requirement of the companies here, and every utility in New York, to provide safe and reliable service. So, with that as a foundation, do you have specific examples that you want to point the panel to?

MS. ZIESCHE: I, I don't. I guess what I was asking is what they all look at when they're talking about safe and if public health is a part of that.

A.L.J. LEARY: Mr. Goodrich, I think the panel could probably answer that.

MR. GOODRICH: I guess my question is,

is what is -- I, I still don't understand what public health -- public health could refer to any number of things, including having adequate shelter and heat in the winter, or COVID-19. I, I don't know what that, that means.

A.L.J. LEARY: So, Ms. Ziesche, can you narrow down your question a bit? Are you talking about human exposure to, you know, fracked gas? Are you talking about COVID-19 kind of protocols? Are you talking about people having enough heat and being warm enough in the winter or cool enough in the summer?

MS. ZIESCHE: Yes, I'm asking if, if in the assessment of the safety of these projects, if they are looking at the impacts of things, like emissions on public health, exposure to pollutants.

A.L.J. LEARY: Mr. Goodrich, is the panel conferring? Is that the delay, or what's going on?

MR. GOODRICH: Yes, they're, they're talking amongst themselves.

MR. RIDER: This is Aric Rider. I'm still – I guess I'm still confused on the question. There was, these projects stated, we had a discussion

about public health, and I'm still not clear on what the question is.

MS. ZIESCHE: In -- of all the projects approved, the long-term capacity projects, even the -- you know, all the projects that this JP would allow to be built within Staff's assessment of safe, what is safe and reliable? In the word safe, are you looking at all at public health impacts included with things like emissions and pollutants?

MR. GOODRICH: So, I -- this is Mr. Goodrich. I just want to object to one characterization there. Sane referred to the JP as allowing projects to be built. The Joint Proposal, to the extent it's talking about projects, is not about permitting, but about cost recovery and prudent expenditure of money. It's not about permitting these projects.

A.L.J. COSTELLO: Okay, with that clarification -- with that clarification, can the panel answer?

MR. RIDER: So, this is Aric Rider. I think this is a -- it was a very broad question, so I'll try to -- I'll do my best to respond. But there are a number of regulations in the Public Service Law

that, that guide Staff's analysis in projects. And also, there are certain points in time, like, for example, with COVID-19, that Staff looks at safe and adequate service in a rate case. And you know, in terms of the review, I think that's captured in the testimony that we provided throughout the case.

MS. ZIESCHE: Thank you. I would now like to direct the panel's attention to Page 5 of the Staff's Reply Statement in the court.

MR. GOODRICH: Give us a moment.

MR. RIDER: This is Aric Rider. We're there.

MS. ZIESCHE: Thank you. So, on that page, you mention how a lot of these projects also have other permits required from either the New York State Department of Environmental Conservation or the City of New York. Does this Joint Proposal allow any rate recovery for long-term capacity projects if City and State permits are denied, and projects can't be built?

MR. RIDER: So, this is Aric Rider. The way that the long-term projects have been carved out in the Joint Proposal is that there's a relatively small piece of dollars associated with

engineering and permitting, and then there's the vast majority of the cost of the project itself. If a project did not achieve a permit, there is recognition in the Joint Proposal that those small level of costs could be recovered. However, if the project is not -- and if the project is not constructed, the utility would not be allowed to recover the cost of the project.

MS. ZIESCHE: Thank you. I would now like to direct your attention to the Transcript from the Evidentiary Hearing on February 10th, Page 30 -- 394.

MR. GOODRICH: You said February 10th?

MS. ZIESCHE: Yes.

MR. GOODRICH: Okay. I'm going to - and I'm sorry, 300 and?

MS. ZIESCHE: Ninety-four.

MR. GOODRICH: Thank you.

A.L.J. COSTELLO: That should be Volume 8, Corrected Volume 8 of the Transcript.

A.L.J. LEARY: No, Corrected Volume 1.

A.L.J. COSTELLO: What was the -

A.L.J. LEARY: February 10th.

A.L.J. COSTELLO: What was the page

reference?

A.L.J. LEARY: Three-nine-four.

A.L.J. COSTELLO: I'm sorry, Ms. Ziesche, what was the page reference?

MS. ZIESCHE: Three-ninety-four.

A.L.J. COSTELLO: Okay, I'm sorry, then it's Volume 1. I apologize.

MR. GOODRICH: We have the -- we're at that page.

MS. ZIESCHE: Thank you. So, on Lines 12 through 25, the Companies confirmed that when they're looking at total greenhouse gas emission reduction plans, they're not looking at the emissions from the burning of their product. When Staff does their assessment of greenhouse gas emissions for these -- for the projects in the Joint Proposal, are you looking at also emissions from the burning of the product?

MR. GOODRICH: So, again, the staff now is conferring, and while they're doing that, I do want to just note the distinction that the Joint Proposal and the trial staff looked at these projects from a cost recovery point of view and not, not permitting.

A.L.J. LEARY: And Mr. DeCicco, just so I'm clear, I believe this was the future of heat panel that the company presented in -- one day one, Volume 1, Monday, February 10th.

MR. DECICCO: That's correct. I believe they were the first panel that testified.

A.L.J. LEARY: Okay, just for the record. Thanks.

MR. RIDER: So, this is Aric Rider. If I'm understanding the question correctly, if the DEP or whoever is in charge of issuing permits believes or denies the permit because of emissions, then that would not approve the project in the utility's capital budget.

MS. ZIESCHE: No, my, my question was, in your assessment of projects, are you looking at the greenhouse gas emissions of the burning of the gas, because the company is not looking at those numbers. They're only looking at the leaking in their system.

MR. RIDER: This is Aric Rider. It is the DEC's duty to look at greenhouse gas emissions for permitting.

MS. ZIESCHE: So, the staff is not

looking at greenhouse gas emissions at all in their approval of rate recovery for projects.

MR. RIDER: If the DE -- this is Aric Rider. If the DEC has these products, or these projects, do not meet the standards, then staff would not include these projects in the capital budget for rate recovery.

MS. ZIESCHE: I'm sorry, but what I'm asking is, in your assessment of these projects, what you're saying is you do not look at greenhouse gas emissions at all, that's all up to the DEC.

MR. GOODRICH: So, I'm going to say that if that's the question, staff's provided an answer. This is Mr. Goodrich, sorry.

A.L.J. COSTELLO: Would you just answer yes or no, if you can, and if you can't answer with a yes or no, then provide an explanation, but the question is whether the Department of Public Service itself looks at emissions in determining whether -- in their determination of approving rate recovery. So, that's the -- that question, I think I know what the answer is, because there's a reference to what the Department of Environment Conservation does, but is it yes or no, and then what the

Department of Environmental Conservation does?

MR. RIDER: Your Honor -- Your Honor, this is Aric Rider. I, I don't know how to answer it. So, you know, if the DEC has provided some documentation that it exceeds the levels, then staff would consider it and take out the project.

A.L.J. COSTELLO: Okay, thank you. I think that response, you know, that gives you an idea of what the Department of Public Service staff is doing, Ms. Ziesche.

MS. ZIESCHE: Thanks. And just for the record, it's Ziesche. It rhymes with [crosstalk].

A.L.J. COSTELLO: Ms. Ziesche, I'm sorry.

MS. ZIESCHE: It's all right. That was, that was my final question of staff. Thank you. And so, now, I'd like to turn to the company. So, in the company's response to the request from the Administrative Law Judges, in ALJ-12, could you please direct your attention to that reply? And let me know when you're there. Thank you. And this for the companies. Yes.

MR. DECICCO: Yes, this is Phil

DeCicco. We have the response in front of us.

MS. ZIESCHE: So, in that reply, you provide an estimate of greenhouse gas emissions for the Barrett Compressed Natural Gas Facility, which I'll refer to as CNG from here on out, and say that the Glenwood and Inwood facilities would submit similar emissions. Were upstream emissions included at all in your assessment of greenhouse emissions from this -- from these projects?

MR. TURRINI: No.

MS. ZIESCHE: Were the greenhouse gas emissions from combustion of the anticipated additional gas from the CNG facilities included in this assessment?

MR. TURRINI: So, do you mean the gas that we were going to use to run the heaters through, to warm the gas from the CNG system before we are inserting them back into our distribution system? Is that the gas that you're referring to?

MS. ZIESCHE: No, I'm referring -- yeah -- I'm referring --

A.L.J. COSTELLO: Can I just interject one second? I just -- when, when you respond, or when you start speaking, please just identify

yourself so that we have it here for the record.

MR. TURRINI: Oh, I so sorry. It's Ross Turrini.

MS. ZIESCHE: So, this is Lee Ziesche again. I'm referring to the additional gas that you're anticipating would be used, that would be injected into your system through the CNG injection heaters, to meet the long-term capacity.

MR. TURRINI: So, no.

MS. ZIESCHE: In that same response, ALJ-12, you provided an estimate of greenhouse gas emissions for the vaporizers 13 and 14. Were upstream emissions included at all in your assessments?

MR. TURRINI: No.

MS. ZIESCHE: You were -- greenhouse gas emissions for combustion of the anticipated additional gas that these heat vaporizers would, would put into your system. Was those greenhouse gas emissions assessed at all?

MR. TURRINI: No.

MS. ZIESCHE: Thank you. Okay, I would now like to direct the company's attention to your Reply Statement, Reply Statement in Support, on Page 13. Please let me know when you're there.

MR. TURRINI: Okay, we're there.

MS. ZIESCHE: Thank you. So, on this page, you say, moreover AGREE's arguments regarding the disproportionate impact on disadvantaged communities or purported adverse health impacts are without support on the record, relying on opinion pieces and general studies that are not specific to these projects. Is that correct?

MR. MOLLOY: James Molloy. That is correct.

MS. ZIESCHE: Has the -- so, those -- that statement was in general referring to the MRI pipeline and the LNG, the Greenpoint LNG facility. Has the staff done any studies to look at the demographics surrounding any of those projects?

UNIDENTIFIED SPEAKER: We're just conferring.

MR. DECICCO: Objection. Your Honor, I, I, I think the staff's statement, or are we talking about the company?

MS. ZIESCHE: The company's statement.

MR. DECICCO: Will you repeat the question please.

MS. ZIESCHE: It was if the companies

have -- so, in, in the Reply Statement, you're referring to AGREE's argument that the MRI pipeline and the Greenpoint LNG facility, there, there's no evidence that these are in disproportionate -- there's a disproportionate impact on disadvantaged communities, and the question was, has the company done any assessment of the demographics around the MRI pipeline and the Greenpoint LNG facility.

MR. DECICCO: Yeah, the witnesses are going to confer.

MR. TURRINI: So, Ross Turrini for the companies. No, we do not do a study.

MS. ZIESCHE: Thank you. What role does public comments -- how, how do, how do the companies review public comments and take those into consideration for projects?

MR. TURRINI: So, Ross Turrini for the company. So, you know, we appreciate all the public comments that we get, and we are actually trying to be proactive and get more public comments. We take that into consideration with a lot of different aspects as well as, you know, the two million customers that we have in the Downstate Area that we're responsible for providing safe and reliable gas

service to on the coldest days of the year.

MS. ZIESCHE: But do you consider public comments part of the evidence and part of the record?

MR. MALONEY: I'm, I'm going to object. I think that calls for the panel to make a legal conclusion. I thought we talked about this already.

A.L.J. LEARY: Ms. Ziesche, we already went over this ground when you asked staff that very same question. So, yeah, we're going to sustain Mr. -- the company's objections. I want to make sure that everybody identifies themselves, so --

MR. MALONEY: I'm sorry, Judge Leary. That was Ken Maloney.

A.L.J. LEARY: I thought it was you, Mr. Maloney. Thank you. Do you have another question?

MS. ZIESCHE: I think so, yes. Did the staff read the comments submitted by Assembly Member Emily Gallagher?

MR. MALONEY: Objection. Again, I think the staff read this -- the company panel.

MS. ZIESCHE: I'm sorry. Did the

companies review the comments submitted by Assembly Member Emily Gallagher?

MR. MOLLOY: Yes, we did.

MS. ZIESCHE: So in Assembly Member Gallagher's comment, she states that multiple studies have shown that our district already suffers from disproportionate air quality compared to the other neighborhoods in the city. In the company's reply statement, you said those were all opinion pieces. Do you believe the assembly member's comment is just opinion?

MR. DECICCO: Your Honor, Phil DeCicco. I'm going to object, because they're not referencing specific studies. I -- I don't know how the panel could possibly answer that question.

A.L.J. LEARY: Yeah, we're going to sustain that objection.

BY MS. ZICSCHE: All right. So I would now like to direct the company's attention to page 81 of the joint proposal. Please let me know when you are there.

MR. DECICCO: They're there.

CROSS EXAMINATION BY MS. ZEISCHE: (Cont.)

Q. Thank you. So on this page, the company states that the companies will undertake reasonable efforts to prioritize potential projects to transition leak-prone pipe to non-pipe alternatives in low-income and environmental justice communities in all service areas. Why is the company prioritizing a transition to non-pipe alternatives in low-income and environmental justice communities?

MR. DECICCO: Phil DeCicco. The witnesses are conferring.

BY MS. ZICSCHE: (Cont.)

A. (Turrini) So Ross Turrini for the company. You know, actually, when we're looking at this transition, we're not just looking at environmental justice communities; we're looking at non-pipes alternatives for leak-prone pipe in all communities.

Q. There's the word, though, prioritizing. So why are you prioritizing in these communities?

MR. DECICCO: I'll just object to the question -- Phil DeCicco here. This -- this is a direct proposal. It's the product of a negotiated settlement. This represents the parties of -- and

the positions of several parties that contributed to the direct proposal, one the company has signed onto but not necessarily the company's whole view that this is what they should be doing, but I will allow Ross to answer over the objection.

A.L.J. LEARY: Yeah, we're going to overrule that objection. The panel should answer the question.

BY MS. ZICSCHE: (Cont.)

A (Turrini) So Ross Turrini for the company. So, obviously, you know, in this rate case, there's been a lot of focus on environmental justice communities, and the company was looking here for a way that we could better serve and do more for those communities by looking to prioritize those activities into the environmental justice.

Q. So is it the company's position that non-pipe alternatives are better for low-income and environmental justice communities?

A. No, that's not the company's position.

Q. Thank you. Were there any non-pipe alternatives considered as alternatives to the additional LNG vaporizers 13 and 14 at the Greenpoint

Energy Center?

A. So Ross Turrini for the company. When we took a look at solving our downstate New York supply constraint problem, we look at a variety of different solutions, including the distributed infrastructure solution, the CNG or the LNG pieces, as well as non-pipes alternatives such as EE and demand response. We put together a composite program that best allowed us to serve the supply requirements for the downstate area based on all of those different programs and how they would work together.

Q. Okay, thank you. That was my final question.

A.L.J. LEARY: Okay, I think we're going to take a break. I want to ask the parties in terms of their own preference what -- what a good time to return might be. Folks need to take a break, get some lunch, et cetera. Can I hear from DPS staff on a suggested time to return?

MR. GOODRICH: Your Honor, this is Mr. Goodrich. I asked my folks. They said they would prefer if -- if able to -- to do a lunch break and maybe come back at 12:30.

A.L.J. LEARY: I'm going to make it

12:40, if that's okay, because I think they need more of a break than 12:30. Everybody does, including me.

MR. GOODRICH: I'm -- I'm sure not going to object to that, Your Honor.

A.L.J. LEARY: Okay, so companies, do you need more time than 12:40, or are you okay with that?

MR. DECICCO: Phil DeCicco. No, that's fine, Your Honor.

A.L.J. LEARY: Okay, and the other folks who have scheduled to inquire of the witness panels to cross-examine, can I hear from you if you have any serious objection to coming back at 12:40?

MS. AZULAY: Your Honor, this is Jessica Azulay at Alliance for a Green Economy, and we have no objection.

A.L.J. LEARY: Terrific. Anybody else want to be heard? Mr. Woodard, do you have a problem with what we're proposing?

MR. WOODARD: This is Benny Woodard, and I have no objection.

A.L.J. LEARY: Terrific. Okay. Hearing no one else being heard, have a nice lunch break, everyone, and we will -- I think you may want

to stay on the WebEx. Just make sure that you're muted so you can't be heard discussing anything that no one else should hear, and we will be back Mr. Hubbard at 12:40 p.m.

THE REPORTER: Okay, we're off the record.

A.L.J. LEARY: Thank you.

(Off the record 11:49 a.m.)

A.L.J. LEARY: Please make sure you are muted.

A.L.J. COSTELLO: Okay, let's go back on the record.

COURT REPORTER: Okay, one moment. Okay, we're back on the record.

(On the record 12:41 p.m.)

A.L.J. COSTELLO: Okay, I just want to note for the record that Mr. Rigberg from AARP is with us now. And we're -- we finished up with Sane Energy's cross-examination, and we are now turning to cross-examination on behalf of -- of ... Ms. Azulay?

MS. AZULAY: Thank you, Your Honor. This is Jessica Azulay from Alliance for a Green Economy. I have a couple of questions first for the Staff. I just want to make sure the Staff is with

us.

A.L.J. COSTELLO: You know what? That's -- give me one minute. What I'll do is I'll just call out the names. That way I'll -- I'll make sure that they identify themselves.

A.L.J. LEARY: Yeah, Mr. Goodrich just unmuted. So are you -- are you ready, Mr. Goodrich?

MR. GOODRICH: We are. It's just a matter of getting to the unmute button. Sorry.

A.L.J. COSTELLO: Okay.

A.L.J. LEARY: No worries.

A.L.J. COSTELLO: Mr. DeCicco, are -- are you -- all your witnesses ready?

MR. DECICCO: Sure, Your Honor. Yes.

A.L.J. COSTELLO: Okay, great.

CROSS-EXAMINATION

BY MS. AZULAY:

Q. Okay. So my first question is, did the Staff develop and file on the record of this case an analysis as to whether the joint proposal is consistent with or could interfere with attainment of the 2030 greenhouse gas emissions limits mandated by the CLCPA?

MR. GOODRICH: This is Mr. Goodrich.

I'm going to object. What we file on the record is -
-is in the record.

A.L.J. LEARY: Well, we're going to overrule the objection, and the Panel should respond to that question.

MR. RIDER: This is Aric Rider. The information and analysis that we're conducted are -- are filed in the record in this case.

A.L.J. LEARY: Mr. Rider -- Mr. Rider, do you need the Court Reporter to read the question back?

MR. RIDER: If -- if you'd like.

A.L.J. LEARY: Or, Ms. Azulay, to save time, do you want to pose it again?

BY MS. AZULAY: (Cont.)

Q. I would be happy to. Did the Staff develop and file in the record an analysis in this case whether the joint proposal is consistent with or could interfere with attainment of the 2030 greenhouse gas emissions limits mandated by the Climate Leadership and Community Protection Act, also known as the CLCPA?

MR. GOODRICH: And, Your Honor, I do have to object there. She is -- she is calling for a

legal conclusion that something is mandated in this case by -- by the law, and that's -- that's a -- not a question for the panel. The Panel can answer to what it -- what they've filed in the case, but -- but there's a compound question there that's inappropriate.

A.L.J. LEARY: So your objection to the form of the question?

MR. GOODRICH: Yes.

A.L.J. COSTELLO: Okay, Ms. -- Ms. Azulay, would you break it down?

BY MS. AZULAY: (Cont.)

Q. I can try. I mean, the 2030 greenhouse gas emissions limits are clearly established in the CLCPA. They're written right into the law. So I don't think I'm asking for any conclusion about what -- what's in the law. It just is there. But I'm asking whether the Staff developed and filed on the record an analysis as to whether the joint proposal is consistent with or could interfere with attainment of those emissions limits that are set by the CLC.

A. (Rider) So this is Aric Rider. Our analysis is included in the statement in support

of the joint proposal and -- and reply.

Q. Mr. Rider, you point --

A.L.J. LEARY: Okay.

MS. AZULAY: I'm sorry, Your Honor.

A.L.J. LEARY: I -- I'm hearing that Mr. Rider is being prompted in his testimony. And I think we covered this in the beginning of the hearing. So I just want to caution folks to make sure that there's, you know, that that doesn't go on, okay?

MR. GOODRICH: I believe --

A.L.J. LEARY: So --

MR. GOODRICH: -- the Panel -- sorry. I thought you were done. I'm sorry.

A.L.J. LEARY: No. Go -- go ahead, Mr. Goodrich.

MR. GOODRICH: I was going to say, the Panel can confer amongst themselves.

A.L.J. LEARY: Absolutely. What I think would be the better practice is to not allow us to hear that conferring. So confer -- conferring is fine, but what we just heard was -- and I'm not -- I'm not suggesting that -- that the prompt wasn't a good one or any of that. I just -- I think it would

be best if we did not hear that. So just make sure the Panel goes on mute if there's going to be some continued discussion during Mr. Ryden's testimony. And -- and so we don't hear any of the comments that the other panel members or -- and any other statements they may make, which I don't think the Panel would probably want us to hear. Okay, Ms. -- yeah, Ms. Azulay, go ahead.

BY MS. AZULAY: (Cont.)

Q. Thank you. So just to clarify, aside from anything that was written in the joint proposal itself or in Staff statement of support or reply statement, has the Staff prepared any separate analysis as to whether the joint proposal is consistent with or could interfere with attainment of the 2030 greenhouse gas emissions limits mandated by the CLCPA?

MR. GOODRICH: So, again, objection. At this point, this has been asked and answered.

A.L.J. LEARY: We're -- we're going to overrule. The Panel should answer.

BY MS. AZULAY: (Cont.)

A. (Rider) This is Aric Rider. I believe I answered the same question before, that our

analysis is included in the reply or the statement support and reply to the joint proposal.

A.L.J. LEARY: The -- the question is whether there's something in addition to that that's separate. It sounds like the answer is no, but I -- I need you to -- I need you to confirm that. Because, obviously, I can't testify for this panel.

MR. RIDER:

A. So the -- what -- what we conducted was included in there. There's no additional analysis.

A.L.J. LEARY: Thanks.

BY MS. AZULAY: (Cont.)

Q. Thank you. Did the Staff develop and file on the record in this case an analysis as to whether the companies' gas infrastructure investments would disproportionately burden disadvantaged communities?

MR. GOODRICH: The Panel is going to confer.

BY MS. AZULAY: (Cont.)

A. This is Aric Rider. Can you -- are -- are you specifically pointing to a -- a place in our statement of support or reply statements you -

- that we can reference?

Q. No. I'm asking whether you developed and filed on the record any analysis as to whether the companies' gas infrastructure investments would disproportionately burden disadvantaged communities.

A. And -- and I'm asking is, where in the record did I -- did we -- did we say that?

Q. I don't know if you have stated --

A. You're -- you're asking --

Q. -- if you did or didn't. I'm asking you whether you did the analysis and filed it on the record or not.

MR. GOODRICH: So I'm going to -- I'm going to have to object again. I -- it is the duty of a party to review the record and determine if they feel something is in the record or not, not to just ask other parties whether they've -- they've put something in evidence or not. I -- this is not an appropriate line of questioning.

A.L.J. LEARY: Okay.

MS. AZULAY: I haven't seen anything in the record that you have put in. That's why I'm

asking if you have.

MR. GOODRICH: Well then you can draw your own conclusion from that.

A.L.J. LEARY: I'm going to overrule the objection and require the Panel to answer -- pretty straightforward. I think Staff knows what they put in the record and what's not there, as do probably all of us. So I'm going to direct the Panel to answer that question.

UNIDENTIFIED SPEAKER: I don't know. Simple, but --

BY MS. AZULAY: (Cont.)

A. So this is Aric Rider. There are thousands and thousands of pages of information in this case. The -- the analysis that Staff has conducted is in the record, and I would point -- point you to the Staff support of the joint proposal and the reply.

Q. So aside from what you've wrote in the statement of support and your reply statement, is there a specific analysis as to whether or not the companies' gas infrastructure investments would disproportionately burden disadvantaged communities?

A. I believe I've answered that

question. Any analysis that Staff conducted is included in the record.

A.L.J. LEARY: So let -- let me cut this short. We covered this a bit this morning. Mr. Rider, is it correct for me to assume that there is not any kind of evidence, analysis, whatever, in the record about environment justice community impacts or -- well, let -- let me stop there -- environmental justice community impacts as a result of any of the capital projects?

MR. RIDER: Your Honor, I -- I'd point you to -- hold on. I got to find it.

MR. GOODRICH: I'm going to go on mute. They're conferring.

A.L.J. LEARY: Okay.

MR. RIDER: This is Aric Rider, Your Honor. I -- I would point you to page five of Staff's reply statement, where we had said that we didn't believe that there was anything in the record that showed that those communities were disproportionately burdened.

A.L.J. LEARY: And -- and consequently, you -- you did not do any further analysis as a result of that conclusion?

MR. GOODRICH: Say it again. I'm sorry. I hit mute accidently.

MR. RIDER: That's correct.

A.L.J. LEARY: Okay, Ms. Azulay?

MS. AZULAY: Thank you. Those are all of my questions for Staff. I now have a couple of questions for the companies. If you could please refer to the document titled, "National Grid Long-Term Capacity Report." I believe this has now been marked Exhibit 849.

MR. DECICCO: Yes, we have those in front of us.

BY MS. AZULAY: (Cont.)

Q. Okay, could you just briefly describe what the purpose of this report was?

A. (Turrini) Sure. The purpose of this report was for the company to look at it down state New York gas demand and -- and look at developing a solution to ensure that we could safety and reliably serve our customers in the down state New York area with gas.

COURT REPORTER: Who's that?

A.L.J. LEARY: Okay, I'm going to ask --

COURT REPORTER: Excuse me --

MR. TURRINI: I'm sorry. Ross Turrini. My apologies.

A.L.J. LEARY: Thank you.

BY MS. AZULAY: (Cont.)

Q. So if you could please refer to Section 10.3 of this report, it starts on page 73, and it describes a no infrastructure option.

A. (Turrini) Okay, we have that section.

Q. Okay, great. Can you just briefly describe what the no infrastructure options -- what the no infrastructure option is?

A. Sure. The no infrastructure options would include energy efficiency demand response and electrification.

BY MS. AZULAY: (Cont.)

Q. Thank you.

A. If the companies had chosen to move forward solely with this portfolio of no infrastructure investments, would the companies' shareholders have made a return on equity from these projects?

A. (Molloy) It -- it -- it depends.

A.L.J. LEARY: Who's speaking? Excuse me, you need --

BY MS. AZULAY: (Cont.)

A. This is James Molloy, sorry. It -- it depends on the rate making underneath the -- how we collect the non-infrastructure cost. We would not collect anything for this. The -- the capacity project, that wouldn't have been built. But we would need to collect the cost associated with all the other works here, the DDR and -- because the bill and tax, I'm pretty sure that they would be preferred. We'd be getting a return on those dollars.

Q. Would that be similar to a return you would get the options that you chose to move forward with --

A. That is what the --

Q. -- the infrastructure options?

A. It's Molloy. And that is what we'd expect.

Q. Does the company normally make a return on equity on energy efficiency and demand response?

A. The -- it's Molloy. The company makes a return on anything that it finally -- it --

it invests for the customer's impact. So to the extent that we have to defer these costs, our deferrals do normally receive a WACC.

Q. I'm sorry, can you please explain what a WACC is?

A. WACC is the Weighted Average Cost of Capital, which includes a return on equity.

Q. Okay, thank you. Was this National Grid Long-Term Capacity Report developed with options in good faith?

A. (Turrini) Ross Turrini for the company. Yes, I believe it was developed with not only good faith, but community input.

Q. Okay, thank you. Those are all of my questions for the company.

A.L.J. LEARY: Thank you, Ms. Azulay.

A.L.J. COSTELLO: We received an email from Mr. Robert Wood, who requested the opportunity to conduct some cross-examination. And we -- we responded by telling him that we would allow him to make the request on the record. That way we could hear from anybody, since this is a late request. So, Mr. Wood, if you are on the line, you need to hit star six to unmute yourself if you're calling by

phone, and you can make the request.

MR. WOOD: Thank you, Your Honor. Yes, I'd like to officially request permission to cross-examine the companies.

A.L.J. COSTELLO: And you indicated in your email what specifically -- what document you were referring to. So please let them know.

MR. WOOD: I will be, just in one question, quoting from the First Quarterly Monitors Report from Case 19-G-0678.

A.L.J. COSTELLO: Okay, I want to hear from -- you're going to -- are you going to direct questions to both the company -- companies and the Department of Public Service Staff?

MR. WOOD: No, Your Honor, just the companies.

A.L.J. COSTELLO: Okay, and then let me ask, Mr. DeCicco, is -- or the companies. I don't know if it's Mr. DeCicco. Do you have any objections to that?

MR. DECICCO: Phil DeCicco. No, Your Honor, we have no objection. I will just say upfront, you know, we weren't aware that this was going to be a topic. So I'm -- I'm not sure that the

Panel's able to speak to that report without looking at it, without the language that's going to be quoted. So this Panel will do the best that it can, but we have no objection in answering.

A.L.J. LEARY: Well, let me ask you something, Mr. DeCicco. We just heard testimony on the Long-Term Capacity Report, which was submitted in that very proceeding, 19-G-0678, correct?

MR. DECICCO: Correct. Yes.

A.L.J. LEARY: So I'm assuming you have somebody on that Panel that's familiar with 19-G-0978, correct?

MR. DECICCO: That is correct. But the monitors reports cover items that are beyond the scope of -- just these reports. But I think, you know, we'll have to see what the questions are. But we will certainly try our best.

A.L.J. LEARY: Okay, fair enough. And -- and just for Mr. Wood's benefit, if -- if a witness is not here, Judge Costello and I will have to determine whether we would require the companies to provide a response should they not be able to do so today. The way this usually works, Mr. Wood, is that everybody knew last week what was going to go on

today, and this is new. So we'll do the best we can, but we need to sort of move forward with some -- some speed. Okay, who are we calling next?

A.L.J. COSTELLO: It's Mr. Wood.

A.L.J. LEARY: Oh, it's Mr. Wood. Okay, Mr. Wood, go ahead.

CROSS-EXAMINATION

BY MR. WOOD:

Q. Thank you. So again, these questions are for the companies. On page 11 of the First Quarterly Report from Case 19-G-0678, the independent monitor quotes a senior national grid executive saying that the company does not, quote, "actively try to get people to electrify," end quote, in the service territory, because it is not, quote, "our business." Would you agree with this statement?

A. (Molloy) James Molloy. I would say that the JP has basically new guidelines associated with that, saying that we will be actively doing that.

Q. Could you clarify what you mean by actively doing that?

A.L.J. COSTELLO: Mr. Molloy, are you referring to a section of the joint proposal?

MR. MOLLOY: I was looking for that, yes.

A.L.J. COSTELLO: Okay.

BY MR. WOOD: (Cont.)

A. (Molloy) Under the Long-Term Capital Capacity Projects section, there's a section that talks about electrification and talking about the companies will collaborate with Con -- Con Edison New York, and PSE&G, and LIPA regarding prospective customers who are potential candidates for electrification.

Q. Thank you. And do you know off the top of your head the percentage of your possible new customer base that you would be referring to Con Edison for electrification?

A. (Turrini) Ross Turrini for the company. No, we do not.

Q. So I believe it is 150 or so per year. Does -- does that help you maybe answer that question?

A. (Molloy) I do believe that it -- James Molloy -- is on page 50 of the joint proposal that talks about the -- the target. That doesn't mean that it's capped. It's just for -- for the

target.

Q. All right. Thank you. Is it true that the companies are largely only a gas provider in the KEDNY and KEDLY territories and that they do not provide electricity for the majority of rate payers?

A. (Turrini) So Ross Turrini for the company. In our KEDNY and KEDLY utilities are a gas-only utility.

Q. Thank you. And it is true that, were National Grid to pursue the no infrastructure option as described it its Long-Term Capacity Report, which would require switching 15,000 to 75,000 homes to electric heat pumps by 2028, the company would lose substantial market share to Con Edison and LIPA? Well, let me ask that one more time, because it was a mouthful. Is it true that were National Grid to pursue the no infrastructure option as described it its Long-Term Capacity Report, which would require switching 15,000 to 75,000 homes to electric heat pumps by 2028, the company would lose substantial market share to Con Edison and LIPA?

MR. DECICCO: I'm sorry -- Phil DeCicco. Where -- where are you getting those

numbers from?

MR. WOOD: These are from the Long-Term Capacity Report.

MR. DECICCO: Do you have a specific reference where those are coming from?

MR. WOOD: I could find it really quickly if -- if everyone would allow that time.

A.L.J. LEARY: Go ahead. Take your time. The witnesses need to see the context of what you are covering. So if you're going to ask additional questions about that report or anything else in writing, it would be helpful for the Panel, the Companies Panel, to be provided with the reference, including the page number, if you would, Mr. Wood.

BY MR. WOOD: (Cont.)

Q. All right, one second. I'm having trouble finding this, so I'll just rephrase the question. Is it true that were National Grid to pursue the, quote, "no infrastructure option," as described in the Long-Term Capacity Report, which would require switching many more customers to heat pumps than what has been proposed in the joint proposal, the company would lose substantial market

share to Con Edison and LIPA?

A. (Turrini) So Ross -- Ross Turrini for the company. So, you know, should -- should the company see greater adoption of heat pumps, you know, we would -- we would -- we would have less investment we would need to make on the gas infrastructure in order to -- to deliver the down state New York -- New York supply solution. It would not actually reduce any existing customer demand while we would, you know, continue to balance adding new customers with part of that overall solution.

Q. Right. The question was not about demand. The question was about customer base and number of customers in your territory. So to repeat --

A. So it would -- it would all -- Ross Turrini for the company again. It would -- it would just net out. It would -- it would depend on new adoption of gas customers who would just continue to adopt gas versus what would be the adoption rate of electrification. And without really having a good forecast on -- on the electrification number, it's very difficult for me to answer that question.

Q. So to simplify the question even

more, then, when a customer switches from gas to electric space heating, do you or do you not lose them as a customer?

A. (Molloy) James Molloy. That depends, because they can still take gas for cooking or other purposes. So they could still be a customer. They could still be served by a company.

Q. When that customer switches to electric space heating, hot water, and cooking, do you or do you not lose them as a customer?

A. It's Molloy. Yes, we would lose that customer.

Q. Thank you. Would you agree -- sorry, let me back up. Was -- is -- is that type of loss of market share -- was it any factor at all in the company choosing the distributed gas infrastructure option over the no infrastructure option as a long-term capacity solution?

A. (Turrini) Ross Turrini for the company. No, it was not.

Q. So just to clarify, the possibility of customers no longer needing your services, switching entirely to electric heating, hot water, and cooking, was not a factor in you choosing

an option that would prevent that from happening?

A. So we did not choose that as an option that -- that we wouldn't pursue that option. We actually have chosen to pursue that option as part of our long-term gas infrastructure solution, which relies on energy efficiency and demand response, as well as incremental electrification.

Q. Yes. But I think what I'm asking is that --

A.L.J. COSTELLO: Mr. Wood?

MR. WOOD: Yes?

A.L.J. COSTELLO: You asked the question the first time. You got a direct answer of no.

MR. WOOD: Okay, thank you, Your Honor. So I'll move on.

BY MR. WOOD: (Cont.)

Q. Would you agree that it is generally in the company's best financial interest to resist calls for electrification of space heating, hot water, and cooking, and to push for gas solutions instead -- yes or no?

A. (Turrini) So, no, I wouldn't agree with that, because of what we've published in

our Long-Term Capacity Report, where we've developed a solution that requires, you know, distributing infrastructure sites, such as CNG and LNG, as well as incremental demand response, energy efficiency, and electrification in order to meet the supply needs of the down state region.

Q. Thank you. Would you agree, in general, that National Grid profits more from a path that includes more gas than electrification -- yes or no?

A. (Molloy) James Molloy. I really think it depends on the rate treatment for all the other non-infrastructure... whether we make money or not make money. And in addition to considering our needs, we also have to consider the -- the costs to the end-user customers, as well.

Q. Thank you. Would you agree, that in general, given the way the company's restructured right now, that it is the company's fiduciary duty to its shareholders to resist efforts to electrify space heating, hot water, and cooking, and push for gas solutions instead?

A. James Molloy. No, I disagree with that.

Q. And can you elaborate on why?

A. James Molloy. The company has an obligation to serve. Until that changes, you know, they'll have to make the best for our customers.

Q. Yes. And would you agree that the path of least resistance to getting a return on equity to your shareholders is to invest more heavily in gas infrastructure than electrification?

MR. DECICCO: Your Honor, we object to that. I'm not sure what he means by the path of least resistance. I believe Mr. Molloy has defined before, that under different rate structures, we could in fact earn on, you know, energy efficiency and other programs. So I'm not sure what he means by the path of least resistance. So we're going to sustain the objection. And if you'd like to rephrase, Mr. Wood.

BY MR. WOOD: (Cont.)

Q. Given the -- just given the fact that electrification -- assuming that these customers adopt electric heat, hot water, and cooking, it -- it -- it -- what I'm asking is, does that not present a -- a significant burden on your business model in

terms of securing profits for your shareholders as opposed to doing what you can to keep those customers on gas? And I'll rephrase that and make it easier. Is it not easier for you to secure your profits for your company through an all-gas pathway than a pathway that involves significant number of customers leaving your main products to electrify their heating, hot water, and cooking?

A. (Turrini) So Ross Turrini for the company. So the -- the pathway and the future is going to have many different pieces of the solution. Electrification is going to be part of it. But repurposing of the gas system, that's going to change the way it's used to include low-carbon fuels, such as renewable natural gas. Hydrogen and hydrogen blending are going to be part -- part of the energy infrastructure solution in order to enable an affordable next year out. So we believe that continued use of the gas infrastructure is going to be part of the long-term solution.

Q. And does the companies feel that it is a prudent use of renewable electricity to channel it towards the creation of green hydrogen, for instance, to then heat homes as opposed to using

renewable electricity directly to heat homes?

A. So I think when you look start to take a look -- Ross Turrini for the company. So when you start to take a look in balancing the actual constructability of all these assets, with the affordability, and the drive, and the path to net zero, when the engineers get in the room and they start to really design this and make sure it all works together, I believe that that will be part of the pathway forward.

Q. My question was whether or not you thought it was a prudent use of -- of electricity, of renewable electricity to --

A. Yes, I do.

Q. -- to redirect it towards the creation of something like green hydrogen, which would presumably be used to save gas assets and only secondarily, as a source of heating, and to directly allow customers to use that renewable electricity for their electric heating?

A. So I -- I'm just going to repeat and clarify my answer, all right? When you start to label when -- especially in a densely-populated urban environment, when you start to look at the

constructability of doubling or tripling the size of your electric system, where all that space is very, very constrained underneath the ground, when you really get together and engineer and deliver a solution that's going to deliver net zero, the pipeline systems, as well as electrification, and -- and green hydrogen will all be part of that solution, and when -- especially when you factor in affordability on building all those assets. So to clarify my answer, yes, I think it would be a prudent use.

Q. Thank you. I have no further questions.

A.L.J. LEARY: Thank you, Mr. Wood, and the Companies Panel. We're now going to turn to AARP. Mr. Rigberg, are you -- are you prepared to pose any questions? I know you wanted to reserve the right to do so. And I'm not sure --

MR. RIGBERG: Yeah. Hi. Hi, this is Saul Rigberg. I -- I don't have any questions, Your Honor.

A.L.J. LEARY: Thank you. And next, we'd like to inquire about Mr. Woddard, Benny Woddard. If you're on the phone, we understand that

you were reserving your rights to -- oh, no. It's -- it's Wood -- Woodard, isn't it?

MR. WOODARD: Yes. Yes. It's Woodard.

A.L.J. LEARY: I'm readying -- I'm reading Judge -- Judge Costello's notes, and he had a --

A.L.J. COSTELLO: I have a typo on my thing. I apologize, Mr. Woodard.

A.L.J. LEARY: I threw you under the bus.

MR. WOODARD: No, I --

A.L.J. LEARY: Go ahead. Go ahead.

MR. WOODARD: I have no questions at this time. Thank you.

A.L.J. LEARY: Excellent. Okay. We're going to take just a five-minute break at this point so that Judge Costello and I can take a lot at some additional questions that we have. We presented the companies with a number of questions last week. All of you saw that. My understanding is the companies conferred with DPS Staff on some or all, and we do have DPS Staff's separate response to one of the questions, which involved, I believe, rate

drivers. But we do have some additional questions. And we're just going to go over them and see if we can shorten them, or forgo asking them altogether. I doubt that's going to happen.

But I do want to impose on Mr. Goodrich for something that I still remain unclear on. And I'm actually also asking the companies. I did see the email on Sunday at which a two-part attachment was transmitted to all the parties. That was Attachment 3 to ALJ 1, the responses to ALJ 1. I need to know where Attachment 2 is in the mix. I am not seeing an email that attaches it. But if you can direct me to the date and not necessarily the time, but the person who sent that to us.

So again, I have Attachments 1 and 3 to ALJ 1, the companies' responses. Mr. Goodrich, do you have readily available when Attachment 2 may have reached Judge Costello and I?

MR. DECICCO: Your Honors, I'm sorry, if I may. It's Phil DeDicco from the company. I sent out myself a lot of those. They were getting hung up, because they are large PDF files. I -- I was under the impression that -- that Attachment 2 went through, but it may be that it got hung up for

some reason. We can -- I was saying before, I think it makes sense if we resend all those attachments today so everyone has them, you know, one place in their email box, if that makes sense.

A.L.J. LEARY: Yeah, I was -- because of the size of things, I was trying to help you avoid that. But I'm going to defer to you on how you want to approach it. I also want you to understand, on Attachment 3, whoever prepared that document, it appears that they shrunk the last part of the document in order to make it fit into people's email boxes. When I say shrunk, what I mean is, when you pull up the PDF -- and let me just give you the page number, the PDF page number at which you'll see this. I believe it's 166. 1 -- page 162 on that PDF, my version of it -- I -- is -- is not readable. And it's -- well, it's not readable. You need to send a PDF all in the same percentage of -- of magnification, if you will. So it comes in, the first part of it, up to page 162, it looks like it comes in at like 75 or 100%, and then it goes down to 20% or so when you get to page 162, and then onward. So it's not readily readable without manipulating the PDF.

So when you do send that, Mr. DeCicco, if you could fix that, and unfortunately, that could require you to break Attachment 3 into three separate parts.

MR. DECICCO: Okay.

A.L.J. LEARY: But I did want to point that out. If anybody has Attachment 2, it could be our mistake. Just let us know when we come back from a five-minute break. All right. We're going to go off the record for just a short time. Thanks.

COURT REPORTER: Okay, we're off the record.

(Off the record 1:26 p.m.)

(On the record 1:41 p.m.)

A.L.J. LEARY: Mr. Hubbard, are you ready?

THE REPORTER: I am ready. We are back on the record. Okay.

A.L.J. COSTELLO: Thank you. All right, so as Judge Leary explained, we have a few questions. And we probably will be submitting further questions in writing, but we have a few follow-up questions right now. And this I'm going to direct to the companies, just to provide an

explanation of what rates would go into effect if the companies do not file for new rates, and the stay-out period terminates on March 31, 2014.

A.L.J. LEARY: No, 2024.

A.L.J. COSTELLO: 2024. I'm sorry, 2024. It wasn't clear to us what happens if the stay-out period terminates without rates being -- new rates being filed for. Can somebody explain that to us?

MR. MOLLOY: I think there are two -- James Molloy. I believe there'll be a couple of things that happen. One is the sur-credits of the regulatory liabilities will cease -- they will stop. And we will create another surcharge for the net plant tracker increase. And we also have just the normal movement of the demand capacity surcharge.

MR. DECICCO: Your Honor, just to clarify.

A.L.J. COSTELLO: Yeah, this is…

MR. DECICCO: I believe you were asking a question about the back end of the stay-out period, correct?

A.L.J. COSTELLO: Right, it's after the stay…

MR. MOLLOY: Right.

A.L.J. COSTELLO: Yeah, because there's a provision in the joint proposal that says the stay-out period will end if the companies file for new rates, or if they don't file for new rates, it will end on March 31, 2024. So I'm trying to find out what happens if you don't file for new rates and the stay-out period terminates. What happens -- what rates are in effect then?

MS. SMITH: This is Kellie Smith from the company. So the rates that would be in effect would be the same delivery rate that the company presented in Appendices 3 and 4 -- Schedule 4.3 in terms of the -- the base delivery rate. And some of the trackers would no longer be in effect in that period.

A.L.J. COSTELLO: Okay, so it wouldn't just be a continuation of the stay-out period rates?

A.L.J. LEARY: Can you further detail -- rather than giving us Appendices 3 and 4, Schedule 4.3, could you give us the narrative of response to the question?

MR. MOLLOY: This is James Molloy.

A.L.J. LEARY: I'm sorry. I'm sorry.

UNIDENTIFIED MALE: We're having feedback issues.

A.L.J. LEARY: I have two people who are calling in by phone and Mr. Wyman (phonetic spelling) and others who are not on mute. We will -- you will be eliminated from this Webex call if we hear that again. Put your phones on mute, please. Okay, the companies were going to go forward -- I'm sorry. Mr. DeCicco or Mr. Maloney -- who was speaking?

A.L.J. COSTELLO: It was Mr. Molloy.

A.L.J. LEARY: Or Molloy. Sorry, Mr. Molloy.

MR. MOLLOY: The companies' base rates will remain the same; however, their surcharges would go away with the net plant tracker.

A.L.J. COSTELLO: So the base rates from the stay-out period, you were saying, or the base rates from third year -- the -- the third year of the rate plan? Those results…

MR. MOLLOY: Yeah. I guess the way I look at it is the base rates for the third year continue in the fourth year for the stay-out period. And then what happens to the base rates, nothing

happens to the base rates. We are adding a plant tracker in the stay-out period that will disappear after fourth year, and in the -- yeah, that would be the big change.

A.L.J. COSTELLO: Okay, thank you.

MR. GOODRICH: Your Honor?

A.L.J. COSTELLO: Yes.

MR. GOODRICH: This is Mr. Goodrich. I think that staff panel wants to ...

MR. CASTANO: Yeah, this is John Castano. Just to kind of re-discuss that quickly. So from Rate Year 3 to Rate Year 4, base delivery rates stay the same, but there is a little caveat because they will be adjusted as these sur-credits fall off. So that's one piece of the puzzle. And then, as well as Mr. Molloy mentioned, there is a surcharge for the net plant tracker. So come from Rate Year 4 to Rate Year 5, base rates would be the same, obviously, because they've been adjusted to account for the surcharges falling off. And then in addition, that net plant tracker would cease ultimately. I hope that clarifies things a little bit better.

A.L.J. COSTELLO: Thank you.

A.L.J. LEARY: And the adjustments, if I understand the adjustments, and I'm again going from memory, the adjustment, if I understand this correctly, is for both companies north of 7 percent. Is that correct?

MR. CASTANO: I'm sorry, Your Honor. I'm not sure exactly what you're referencing to 7 percent.

A.L.J. LEARY: I will find it, but let's move on. And -- and let me just say, this is -- you know, Judge Costello and I are cognizant that this is not optimal. It is better for both the companies and staff, as well as all parties, for these to be presented in writing. And what we were trying to do is limit the number that we presented in writing, and it tells me that some clarification in writing on this question may be called for. So while it came off of our list, I'm -- I'm going to put it back on the list. There are other questions we have that probably can only be answered in writing because it will require the companies to do some digging and -- and -- and analysis in order to answer it. So I have a question about the independent consultants report and those provisions on the long-term capital

project provisions. I think these come up around pages 42-49 in the joint proposal. So there -- there's some criteria that is -- or a standard that is to be applied, and -- by the independent consultant, or let's say factors to be considered, and then there's a standard laid out. So I have questions on both of these areas, and this appears on page 45. So the joint proposal calls this independent consultants assessment an -- a "engineering assessment" and lays out what looks to be five factors to be considered, the last one of which -- I'm sorry, six -- the last one of which is the greenhouse gas emissions attributable to the project and any viable alternatives. So previously, the -- the expertise of the independent consultant is set forth on page 44, and it's really engineering expertise and planning in terms of natural gas distribution infrastructure. But this factor, it seems to me, calls for a consultant that has some understanding of greenhouse gas emissions. So is it the intention -- is it within the spirit of the joint proposal that the independent consultant will, in addition, have that level of expertise or have access to someone with that expertise in order to consider

that factor, that is, the factor involving greenhouse gas emissions attributable to the project? Both staff and the companies. Let me hear from staff first.

MR. RIDER: Your Honor, this is Aric Rider, and the short answer is yes.

A.L.J. LEARY: Okay. And the companies? I just want to make sure you're on the same page with staff. Is that your …?

MR. TURRINI: Ross Turrini -- I'm sorry, Your Honor. Ross Turrini for the company, and yes, we agree with staff.

A.L.J. LEARY: Okay. There's just some -- there's kind of some words missing in the -- in the expertise paragraph that looks like it should have been in there. The next question I have involves the standard, which also appears on page 45, and it deals with "reasonably forecast peak customer demand." And I -- I'm sort of bringing in the Proceeding 19-G-0678 involving a separate, what I'll call the independent monitor as opposed to the independent consultant. Independent monitor in that proceeding had some commentary on the forecasting methodology that the companies utilize. So my

question is what is the methodology that's going to be used for -- by the independent consultant and the companies to deal with -- or to be applied in -- in a "standard" for establishing the need for the long-term capital capacity projects? What's that methodology? Companies, panel, and if -- if DPS panel wants to be heard, I welcome it.

MR. TURRINI: So -- Ross Turrini for the company. So the methodology that we use for determining our demand forecast is based on economic models adjusted for current policies, legislations, and -- and funded programs. Based on that information, we have an algorithm that projects our -- our -- our forecast demand. The model that we currently use is very accurate. When you look at it, it -- on average, it's plus or minus two percent, where -- and -- and that's for a long-term forecast. Where if you look at the electric industry and the independent system operators, when they do day-ahead forecasting where they have a lot more information readily available such as customer usage from the day before as well as hourly weather forecasts, their standard is, again, that plus or minus two percent. So when we look at the methodology that we used,

that's a consistent methodology that we plan to continue, and that is also a methodology that's flexible that can then incorporate new programs or new legislation and new funded initiatives.

A.L.J. LEARY: So did I have it right, that the independent monitor in what I will call the Moratorium Proceeding 19-G-0678 was critical of that methodology and continuing that use of that methodology?

MR. TURRINI: So our answer for that is no, he wanted us to continue to look at and refine that work. We did actually get some third-party -- we went through Marquette University for some additional work to verify that our forecasting methodology was accurate. That was confirmed by them.

A.L.J. LEARY: And -- and did you -- did you raise this to the independent monitor in the moratorium proceeding? Did he…?

MR. TURRINI: Yes, we did.

A.L.J. LEARY: Okay, so did that fall off of his list of issues?

MR. DECICCO: It's Phil DeCicco. I would say -- I don't necessarily know, as Ross said

before, it was an issue per se. He did sort of test -- challenge us to continue to test our methodology to make sure that we were considering, you know, sort of the best available information and -- and -- and the best practices with respect to forecasting. I think that that's sort of constantly something that we should be testing. I don't know if it fell off as an issue per se, but, you know, it's certainly something that's been challenged throughout this process and I think in a way is well-described that, you know, we've demonstrated that -- to our satisfaction that we're employing a method that's industry standard.

A.L.J. LEARY: Good. And more importantly, you're employing a methodology that DPS staff and obviously maybe the Commission would not disagree with. Is that right?

MR. DECICCO: I'll be happy to let staff -- Phil DeCicco. We'd have to let staff speak to that, but in our view, you know, we feel again this is a tested and well-developed supportive methodology.

A.L.J. LEARY: Mr. Goodrich?

MR. RIDER: So this is Aric Rider for

the staff. The econometric modeling that the company uses is consistent with all of the other utilities in the state to constantly monitor the utilities' forecasting methodologies, and they routinely test as the utilities do some back-casting to verify that they are accurate.

A.L.J. LEARY: Excellent. So there -- there wouldn't be a disagreement between the companies and DPS staff, if I'm hearing both of you correctly, about what reasonably forecast peak customer demand would mean in terms of the methodology used to project it. So thank you very much. Finally, again, this is in the same -- I think it's in the same section of the joint proposal, and it involves the non-pipeline alternatives. And my understanding is that there will be at least one RFP for -- I'm sorry, there will be one request for proposal annually issued for a non-pipeline alternative. And I -- I had a question that is a leftover from the last rate case, which is what -- what happened in the last three-year rate plan? Were there non-pipeline alternative RFPs issued by the company annually or just during the three-year rate plan at any time?

MR. MOLLOY: James Molloy. I think that might be an Owen Brady question. Owen, do you have the answer?

MR. BRADY-TRACZYK: Yeah, this is Owen Brady-Traczyk for the company, and to my knowledge, there were no RFPs issued by the companies over the period of the preceding rate plan for the demand side non-pipeline alternatives that are -- are being considered here. I believe the company did perform a market solicitation for supply side resources such as RN -- renewable natural gas projects that could be an alternative to interstate pipeline supply, as traditionally ... but I do not believe that there were any RF -- requests for proposals as envisioned in the JP conducted by the companies.

A.L.J. LEARY: Great. Thank you. Mr. Goodrich, do you want to be heard? Was that you?

MR. GOODRICH: Well, I unmuted myself because you said my name. I'm -- I'm -- defer to my folks. I don't know if they have anything to add. We -- we don't have anything more to add. They don't have anything more to add.

A.L.J. LEARY: Okay, terrific. Let's see. Oh, staying with non-pipeline alternatives,

this provision of the JP is on pages 79-81, in which the companies indicate that they "will support the deployment of geothermal heating as an NPA in their service territories." My question is will that be -- what does that mean, support? And also, will there be some written publicly-available document dealing with the deployment of geothermal heating as an NPA?

MR. BRADY-TRACZYK: This is Owen Brady-Traczyk for the companies again. So that statement refers to the fact that we do have some experience deploying a shared-loop geothermal system via a pilot that was conducted as part of the last rate case. This was the project that was deployed as one of the four gas rev demonstration projects and connected 10 homes to a shared loop in Riverhead on the eastern end of Long Island. As part of that work -- as part of the operation of that system -- we have continued to maintain it and gather data which we have shared publicly, both through conversations with geothermal industry partners including New York Geo as well as filing quarterly and a final report for the project, making that information available to all. As we go forward and continue to consider what sort of alternatives may work for our customers and

for those that are in our franchise area that may not yet be served by natural gas pipelines, we want to ensure that we are casting a wide net of technologies that might be both acceptable to those customers that would meet their needs and that would provide the safe and reliable service that we are obligated to provide. So within that, we are exploring geothermal systems, including how we might be able to support the adoption of shared-loop systems. And as part of this, we are working closely with NYSERDA on their program opportunity notice, or PON 4614, which is looking at district thermal systems, so that we can try to address any barriers that may be in place for these systems to be used, especially in mixed-use and urban environments, where the idea of a commonly installed and commonly accessed asset might alleviate some of the geographic or space constraints that could be present in those neighborhoods as we seek to meet customer needs and help them identify solutions that work for them.

A.L.J. LEARY: Thank you. Very, very helpful. So I believe that there was a reference in the companies' maybe reply -- I -- I'm not sure exactly where I saw that, but I thought you may be

coming in with a revision or a final long-term capacity report this month, June 2021. Actually, I saw this in your May 5 response to the monitor's ninth quarterly report. Just as a matter of having something in the record now that might not -- that -- that may need to be supplemented, as we have this existing long-term capacity report. I think maybe we want this revision, or whatever this is intended to be, a part of the record. Have you filed it yet, or are you intending to finalize it in the next few weeks?

MR. DECICCO: Yes, Your Honor. Phil DeCicco. We are targeting to file that supplement to the -- to last year's report on June 30. It will include, among other things as we described in our implementation plan, sort of an -- an updated assessment of the -- of the supply-demand gap, you know, the status of our efforts to advance and restructure solutions and considerations of alternative options. So that will be filed in that docket on - on June the 30th and will be followed by a similar round of stakeholder feedback, including a public information session with respect to the content of the report. So that -- that will be done

within the next two weeks.

A.L.J. LEARY: My -- my instinct is that you may want to include that or a placeholder for that so that the record -- I don't think it's critical that we have it, but because it's going to be filed within the next couple weeks, we may want to have it on this exhibit list. I'm happy if you disagree with me; happy if you agree with me. So give me some thoughts on that, Mr. DeCicco.

MR. DECICCO: Yeah, you know, my -- my instinct is that since the first two reports are part of the record, that it would just make sense to look at that with this report. We have no reason it will be filed publicly with the Commission. We have no reasons for it not to be considered here too, so I'm happy to include it in the record ...

A.L.J. LEARY: Yeah. And don't misunderstand me. I'm not asking for it before it's ready to be filed in the other proceeding. I'm doing this as a housekeeping measure. Okay, I have one more thing. Let me see. Oh, so we're -- that -- that -- we're -- I think the next exhibit, Judge Costello is telling me, is Exhibit 851. If you want to put it in there, and that would be your June 30,

2021 -- I think you called it a long-term capacity report supplement, just to update where the company is at this point. The final question I have is -- is just one of curiosity, because at some point in the Proceeding the NESE project, that's, let's see, Northeastern Supply -- Mr. Rider, can you help me out with the NESE acronym for the record?

MR. RIDER: NESE or NESE or however you want to say it?

A.L.J. LEARY: Yeah.

MR. RIDER: Northeastern Supply Enhancement Project. It's a ... that would tie into, you know, Long Beach that was not - not ...

A.L.J. LEARY: Sorry, I lost that last part.

MR. RIDER: The DEC -- This is Aric Rider -- the DEC has denied the permits for that project, and it's not being considered as part of this case.

A.L.J. LEARY: Okay, so I know that New York State DEC and New Jersey DEP both denied that -- permits for Clean Water Act 401 certifications for those, but they did so without prejudice. Can the companies tell me if there's

anything new to report on that? Or is it just standing in sort of that limbo where you're denied without prejudice at this point versus, you know, having renewed your applications and so forth.

MR. DECICCO: Your Honor, Phil DeCicco. Just to be clear, it's not our project, so we were not in any way, you know, filing for permits, but -- but as it was described by staff, those permits were denied without prejudice. We're not aware that they have been advanced at all since -- since that happened last year.

A.L.J. LEARY: Yeah, I -- I apologize. I knew that they were not your projects. I knew they were William's projects, but I figured that you would know whether they had renewed. But my understanding is you just said that they did not, as far as you know? Were any of those…?

MR. DECICCO: To my knowledge, no.

A.L.J. LEARY: All right, great. Well, that is the end of our questions. I think those are the easy ones. Again, we'll give you something in writing and put some kind of reasonable deadline on it for you to provide responses. What else do you have about the briefing?

A.L.J. COSTELLO: Redirect.

A.L.J. LEARY: Oh, yes. Let's go with -- I want to get out of here so badly, right? Would the companies or DPS staff, Counsel, Mr. Goodrich and Mr. Forst, would you like to conduct redirect for your panels?

MR. GOODRICH: Staff has -- has no redirect.

A.L.J. LEARY: Thank you. Companies?

MR. DECICCO: Phil DeCicco. No, Your Honor, there is no -- no redirect for us.

A.L.J. LEARY: Super. So we don't see the need to do any additional briefing, but we're willing to provide any party with an opportunity to be heard if you think there's some briefing that needs to be done. So let me hear from the companies first about whether you think that there's something outstanding here that needs to be talked about and considered by the Commission.

MR. DECICCO: Your Honor, Phil DeCicco. From our perspective -- sorry, that does direct to the companies -- from our perspective, no, I think the issues in this case have been thoroughly briefed, including obviously in the last round. So

from our perspective, we think that that's been addressed.

A.L.J. LEARY: Excellent. Thanks. Mr. Goodrich?

MR. GOODRICH: Staff also feels there's -- there's no need for additional briefing. Today's -- the issues raised today were primarily, you know, addressed in -- in staff's, companies', other parties' statements and reply statements regarding the JP, so I don't -- I don't see a need for any further ...

A.L.J. LEARY: Okay. I see, Ms. Fraczek, you have your hand up. Go ahead.

MS. FRACZEK: Yes, thank you so much. Just in regard to the Williams Northeast Supply Enhancement Project, on May 21, the Federal Energy Regulatory Commission just granted Williams another opportunity to apply to New York State and New Jersey to bypass the 401 Water Quality Certification yet again for a fourth time, and New York State did deny them with prejudice in 2020. So that is something that is potentially on our radar again and National Grid as the sole customer of that pipeline.

A.L.J. LEARY: Okay, I did know about

the FERC action. I did not know about the with prejudice piece, so thank you for that. I don't find any need to include anything in the record here with respect to the NESE project. As I said when I posed my question, this was more -- want to give me the status update more out of curiosity than anything else. Okay, anyone else want to be heard on the issue of whether there's some urgent need for any post-hearing briefing on specific issues? Ms. Azulay? Do you have your hand up? Go ahead.

MS. AZULAY: Yes, yes, Your Honor. This is Jessica Azulay from Alliance for a Green Economy. We would like the opportunity to submit a final -- a brief final brief.

A.L.J. LEARY: On?

MS. AZULAY: We would like to address some of the transcript from today's hearing.

A.L.J. LEARY: Well, you know, I don't think -- I think that it's adequately covered in the record. Can you give me more than, you know, why you think, other than the cross-examination you and others have elicited, there's a specific need to address issues? I'm assuming those somehow are related to what your cross-examination questions are,

but I need to hear more succinctly what you'd cover in such a post-hearing brief.

MS. AZULAY: Okay. I'm not a lawyer, so I'm going to do my best here to know what a -- what a post-hearing brief is. But some of the cross-examination that we and other parties did today addressed some of the issues that were raised by staff and the company in their statements of support and reply statements of support, and we would like the opportunity to -- to talk about some of the answers that we got today in the hearing.

A.L.J. LEARY: So we are cognizant of the testimony today. It is what it is. We don't need to reiterate that testimony. Post-hearing briefs generally are targeted at very discrete issues that remain puzzling to us or potentially the Commission. Judge Costello and I just aren't seeing it. We don't see anything worth talking about beyond today. So, I mean, you're always free to make a motion and lay out why you think it's so critical, but you haven't convinced me that post-hearing briefing is necessary. What happens is that whatever you say, the resources on the other side -- that is, the companies and DPS staff and potentially other

parties -- have to be devoted to responding. And then maybe you're going to have something else to say, and then they're going to have to respond. So we're pretty clear on, you know, the testimony that was elicited today and where you were going, and we don't see a need for discussing further, particularly in a -- in the legal context anything that was discussed today. So, I see someone else's hand up. Oh, Ms. -- I thought you put your -- go ahead.

MS. ZICSCHE: Yeah, this is Lee Zicsche, and I did have my hand up because we, you know, same, would also like the opportunity. And the specific issue that came up today that we feel like a lot of evidence was presented was how the staff is looking to implement the CLCPA and take that into account. Some of that was new evidence for us today.

A.L.J. LEARY: So specifically, what was new evidence?

MS. ZICSCHE: That they're not doing any kind of greenhouse gases assessments at all, and they're just depending on DEC.

A.L.J. LEARY: I'm not sure how that could be new if the record has been the record for this long.

MS. ZICSCHE: They, multiple times, talk about greenhouse gas emissions, but apparently they are doing no assessment, so it is quite new.

A.L.J. LEARY: Well, again, I'm going to give you the same answer that I -- I just provided, which is, you know, the testimony today, we heard it, it's going to be in the transcript. I -- I don't think there is any need for anyone to provide any further information on it. If -- you are free to move and ask Judge Costello and I on the record in a motion to consider additional argument, information, et cetera. It is not generally granted, but in extraordinary circumstances, it can be. So you're free to make a motion, which we will consider -- duly consider, but at this point, I'm looking at Judge Costello and we're just not convinced that post-hearing briefing is necessary. But if you can articulate in a motion something more persuasive, we're certainly going to consider it. Okay, anyone else want to be heard on the issue of post-hearing briefing? You can raise your hand or you can just speak up. All right. Hold on one second. Okay, let me just wrap up on the exhibit list, and I think, Mr. DeCicco, you are pretty clear on where we're going

from here. I think what we're going to get from you is a -- a revision. You know, our assistant, Dan Cameron, sent us basically an update to the exhibit numbers on the list that you provided us. What I think we're going to do is to send that most recently updated list to you in order to revise the list itself, particularly the description section and potentially the number of pages, in what we discussed earlier during the hearing. In addition, we have the following exhibits that will be added to this list. We did. What else was there?

A.L.J. COSTELLO: Yeah. Now we just -- we just want you to know to the extent there are exhibits that are now on the exhibit list that have been entered into evidence, we will make sure that they put -- are put on the Document and Matter Management Systems with the Department of Public Service. So that will be taken care of. We also, once we get the transcripts in from today's evidentiary hearing, we will review them and get them out to the parties as quickly as possible so that you have them.

A.L.J. LEARY: And we will do the same with the exhibit list itself. That will be posted on

DMM. So any other issues that any of the parties want to be heard on or have questions about?

MR. MALONEY: Your Honor, this is Ken Maloney. Just on the transcript from today, do you want that included as an exhibit as well?

A.L.J. COSTELLO: No, that's not included as an exhibit. That is actually the evidentiary hearing transcript now.

MR. MALONEY: Okay. I just ...

A.L.J. COSTELLO: Okay, thank you.

A.L.J. LEARY: So -- yeah, I -- I do want to ask the parties to take a look at the transcript. We generally send out the transcript to the parties to make sure people's names are spelled correctly and words are not muddled. So for clarification, we ask that you look at that transcript in draft form and provide Mr. Cameron with any changes, nonsubstantive changes, that need to be made. Thereafter, it will be posted to DMM. But you're going to have to give that a pretty quick turnaround time. I'm going to say -- what do we do, usually a week? Not even. We'll probably get it out to you on, you know, say, a Monday, and you'll have to take a look at it by Thursday or Friday or forever

hold your peace. Ms. Spindelman, I see your hand raised. Go ahead.

MS. SPINDELMAN: Thank you, Judge. I'm sorry, forgive me, but I just want to ask for some sort of sensitivity to the difficulty that we're facing as people who live in the footprint of these projects and that we don't have law degrees or the expertise that the fleet of lawyers for both staff and the companies have. We're actively respecting this system and trying to honestly and deeply navigate it, and I know it's outside the bounds of what is ordinary that we're asking for something extraordinary. But if you could see you way to room for briefs to be submitted, that would truly be in the public service. And I know it's probably out -- out of range, but I'm actually just really, really appealing to you. And if we -- if we had more resources, I think we could have been able to muster that in some way today. But given the new -- the new information that's here, we -- we truly want to deal with this on behalf of the thousands of people with whom we are in contact who will be directly affected.

A.L.J. COSTELLO: I just want you to understand. The idea of the post-hearing briefing is

to inform the Commission and to inform the judges about issues that they are still struggling with or that they may struggle with. So at this point, we determined that we don't need further clarification. The testimony made today is the testimony. We -- we understand it. It's not difficult to understand what was -- people testified to today, and that's why we didn't feel the need for it. If you do still feel the need for further briefing, as Judge Leary said, you can make a motion.

A.L.J. LEARY: And Ms. Spindelman, I know that you submitted a statement in opposition, as did both Sane and AGREE, so I think we have everything we need. If there's something that was missing or something that -- that -- that's new, I -- I frankly am not seeing it. But that doesn't mean my, you know, I'm not open to -- to being corrected. So if you want to make a motion, make a motion, and folks will have a shortened time to respond. Unfortunately, I have -- we would have to shorten that time, but in that motion, you will have to lay out a case for why you don't think that we have enough and the Commission doesn't have enough right now, because it's really within our discretion.

We're the ones to tell you, hey, we still don't understand this piece of -- of the case. Again, we're -- we're sending out questions to the company that will further elucidate certain parts of the joint proposal should there be any remaining. But if you do make a motion, don't waste your time and just say, you know, something that lacks the kind of specificity that's going to help us understand why this is, you know, extraordinary relief that you're entitled to. And -- and you -- you can include, -- and you have to include -- what you would say in that -- in that motion. In other words, you would have to outline with specificity what you intend to say if the motion is granted. I think that's the way the rule reads. So anyone else want to be heard? Okay. I would very much like to thank both the companies' panel and DPS staff's panel. Thank you very much for your time and your patience and perseverance.

We had three weeks of -- of hearings, not every day, but a lot of hearings before, and this was not preferred, but we felt we couldn't avoid it. And I think it was -- it was actually a very important thing for us to do today, because Judge Costello and I have a -- a clear understanding -- or

a clearer understanding of what -- what the joint proposal is about, and we are also happy that there will be no dispute between the signatory parties about what the document means. That's one of the first things that we look at. And we look for whether there's some ambiguity that in, you know, in another year, one side's, you know, one party is going to say, no, it means this, and the other party is going to say, no, no, that's not what I intended, it means X. So thank you very much to the panels. You helped us to see that all the signatory parties are very much on the same page, and we thank you again for your time and preparation for today. Okay. I think that's it. We -- I don't see anybody else's hand raised. Last call to be heard. All right. Thank you, everyone, for your time today, and we are off the record. Thank you, Mr. Hubbard.

THE REPORTER: You're welcome.

(Off the record 2:25 p.m.)

(The proceeding concluded.)

STATE OF NEW YORK

I, HOWARD HUBBARD, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 134, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 23rd day of June, 2021.

HOWARD HUBBARD, Reporter